

BDCR-26 · US BIG DEBT CYCLE REGIME ALGORITHM

The Debt Cycle Meets the AI Bubble

A five-year projection for the US economy and markets, the game theory of who keeps it going, and a dated crash forecast. Detailed report, updated through October 2, 2026, after the quarter-end data, the October 1 ledger dates and the September payrolls.

REPORT DATE · 2 October 2026 (data through the 2 October afternoon)

BASELINE · 28 July 2026 · RE-SCORED 19 Aug · 10 Sep · 16 Sep · 22 Sep · 28 Sep · 2 Oct

COMPOSITE · 70.3 / 100 · R3-upper — repression-lite onset (R4 band, Monetization Gate NOT met)

METHOD · 39 research sweeps, adversarially audited, pre-registered thresholds

STATUS · Analytical framework. Not investment advice.

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How to read the numbers

The composite is a weighted sum of 32 indicators, each scored 0 to 3 against thresholds that were written down before the data arrived. Scores only change when a written threshold is crossed; when a rule needs changing, the amendment is logged and applies to future readings, never to the reading that motivated it. That discipline is the reason the composite moves in small steps while the narrative moves in large ones. The scenario probabilities and the crash-timing distribution are judgment layered on top of the mechanical score, and they are labeled as such throughout.

1 · EXECUTIVE SUMMARY

Labor turned, the hike cycle ended on data, and the long end sold off anyway

COMPOSITE

70.3

From 71.7 on Sep 28; one indicator down (credit 2 → 1)

REGIME

R3 upper

R4 band; Monetization Gate unmet; October hike priced out

SYSTEMIC CRASH (HAZARD MODEL)

Sep 2027

80% interval Feb 2027 – Mar 2029; confidence HIGH; prior was Oct 2027

10% CORRECTION BY NOV 4

~40%

Prior: modal month November 2026; engine correction clock Feb 2027

What changed in the latest week (September 28 to October 2). One indicator moved, down: credit complacency/stress fell from 2 to 1 because the indicator's declared high-yield series (FRED) printed 312bp, leaving the "complacency" band without reaching a stress band, a quirk of the two-sided design now amended prospectively; the composite is 70.3. Two confirmations matter more than the score change. The 30-year closed above 5.50% on all five sessions, 5.632% on September 30, the highest since 2002, so the September 28 upgrade now stands on the original rule. And the IMF's COFER data put the dollar's reserve share at 56.7%, below the 57.5% line, so the reserve-erosion downgrade does not execute even though gold failed its clause. The week's news was the real economy and the bond market's reaction to it: September payrolls +29K with the prior two months revised down 60K and July now negative, unemployment 4.2%, wage growth 3.0% against 3.4% headline inflation, consumer confidence at its lowest since 2014 with inflation expectations at 6.1%, ISM prices paid at 77.9. The October hike is dead at about 17%. The 10-year rallied 6bp on the print and gave it all back within hours, the curve bear-steepened to about 44bp, and the October 1 buyback drew \$46.4B of offers for a \$6B cap in two 2041 to 2042 issues at 67 to 76 cents on the dollar, with the pre-operation level regained in two sessions. Weak data no longer buys duration. Micron beat and raised FY27 capex above \$40B; DRAM prices are still rising; Oracle's CDS set a record near 227bp; SoftBank funded OpenAI's \$10B; every private-credit fund repeated its 5% cap; Car-Mart received a fifth waiver, to October 8. The NDX made a record on the payroll print while NYSE new lows have exceeded new highs for 23 straight sessions. Iran's delegation was expelled, a third carrier group was ordered and six tankers were struck, and Brent still closed under \$100. France's budget pushed its spread over Bunds to the widest since 2012. The BEA's annual revision lifted the saving-rate history by about 1.6 points, so the model's 3.0% trigger is re-based to 4.0% on the new series (August: 4.1%). A viral post claiming "US bonds have no buyers" is assessed in section 4: right in direction on the long end, half right on mechanism, wrong on Japan and wrong on the short end.

What changed the week before (September 22 to 28). Two things moved the score, from 70.0 to 70.3. First, a structural amendment: a 32nd indicator, net investment to GDP (S&P 500 capex minus depreciation over nominal GDP), enters the bubble pillar at 2.07%, above the 2000, 2007 and 2014 peaks, and scores 3; its weight was taken from two indicators that measured the same phenomenon less precisely, so the amendment alone adds only 0.3 points. Second, the 30-year stress indicator moved from 2 to 3 under the clause logged on September 10 for an official long-end intervention that fails to hold: Treasury bought back \$4.08B of 20–30-year paper on September 24 (of a \$6B cap, with \$10.47B offered) with the 30-year at 5.44–5.50%, and two sessions later the 30-year traded 5.56%, its highest since 2004. The same day the 10-year hit its highest since 2007, the 5-year auction tailed 3.1bp and stopped above 5% for the first time since 2007, and the Japanese, German and British long ends all broke out together. Bond volatility jumped from about 80 to 105 on the MOVE index while the VIX stayed near 15; stocks fell on every session that yields rose. October hike odds went from 55% to 72% after Governor Barr said the Committee had been "out of position." Oracle invoked force majeure on Project Jupiter and its credit default swaps hit a record, the first contractual distress event in the hyperscaler chain. Trump rejected Iran's seven-day Hormuz plan and, per the Wall Street Journal, told aides he expects to resume bombing Iran after the midterms; Brent went from \$97 back to \$105–107. Gold fell 3.8% and the dollar rose: the market bought dollars, it did not exit them. The Xi summit was constructive (truce extended two months into early 2027, tariff cuts on about \$30B of goods) and was the week's one genuinely stabilizing event.

What the two memos changed. A red-team memo on the crash-timing question and a Dalio-methodology note ("BDCR 2.0") were received the same day and accepted in substance. The 32-indicator composite is retained as the structural layer

only. Timing now comes from a new engine (section 2A) that encodes a Dalio decision tree with pass/fail per node, models five independent crash mechanisms with dated clocks (sovereign, AI capital cycle, private credit, consumer, market plumbing), measures three reflexivity loops, tests the AI complex's cash flow under eight stresses rather than its narrative, models the Treasury's marginal funding cost and who must absorb the next \$2T, requires three of five markets to confirm before a systemic hazard is believed, backtests pre-specified mechanism rules on the 1881 to 2023 record in and out of sample with nothing fitted, matches historical analogues by mechanism rather than chart shape, and produces a monthly hazard curve with a modal month, an 80% interval and a confidence level, defined as stability across 162 model specifications, for three separate events: a 10% correction, a 20% bear market and a 25% systemic crash. The election calendar is now a deferral modifier on observed hazard, not a timing input. The current run puts the systemic modal month at **Sep 2027**, one month earlier than the October 2027 prior, with an 80% interval of Feb 2027 to Mar 2029 and HIGH confidence: the result is stable across 100% of specifications, but only 2 of five markets has confirmed. The engine on its own puts the nearest pressure point at Apr 2027. The correction clock's modal month is Feb 2027. The old forecast is reclassified as the prior, and the first run recorded a flaw in it: 8% of mass in the five weeks before November 4 was a higher single-month density than any month of the supposedly modal 2027 bucket.

The state of play. On September 16 the Federal Reserve raised the funds rate 25bp to 3.75–4.00% by a unanimous vote, with a median projection of one more hike this year. The 10-year Treasury rose through 5% on the decision, its first close above 5% since 2007. A long end that sells off when the central bank tightens is telling you the hike raises the government's interest bill faster than it lowers inflation risk. That single move pushed the equity risk premium below zero, the only pre-registered threshold crossed this week, and lifted the composite to exactly 70.0. The score now sits inside the Regime 4 band, but the Monetization Gate, which requires the Fed to buy duration, cap yields, or hold real rates negative, is further from opening than at any point since July. The model's own output reads "repression-lite onset, gate not met." That is not a contradiction. It is the projection. The week that followed (September 16 to 22) crossed no threshold: the composite held at 70.0. The week after that (September 22 to 28) crossed one, the intervention-fails clause on the 30-year, and added the capital-cycle indicator: 70.3.

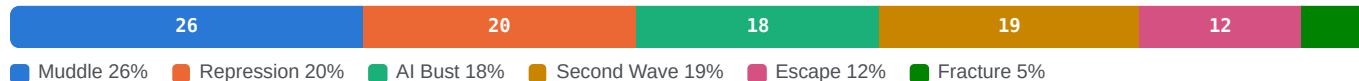
What the week after the hike showed. The election put worked, and its author said so: Trump told the UN an Iran deal comes "right after" November 3, the US struck IRGC targets and held a three-hour meeting with Iranian officials on the same day, Saudi Arabia restarted its East-West pipeline, and Brent fell 10% to \$97. That reversed the FOMC selloff: the S&P is 0.3% from its record, the Nasdaq at a new high, semis up six straight sessions. Underneath, the three legs the map cares about most all deteriorated. Oracle's Project Jupiter loans are quoted at 89 to 91 cents (the first hyperscaler-linked project debt below 90), OpenAI's leaked plan shows cash exhausted by 2028, SoftBank is funding its OpenAI stake with junk near 10%, and Fitch's private-credit default rate hit a record 6.3% with every perpetual fund gated. July TIC showed private foreigners net sellers of US securities and Japan selling for a third month, while the BOJ's dovish hike pushed the yen back to 158. The 2s10s curve flattened to 20bp with an October hike 55% priced and the President demanding 1% rates. The bounce itself was narrow: the NYSE Composite was flat on the week, small caps are down 4% on the month, CTAs are modelled as sellers in every scenario, and August margin debt set a record.

What the FOMC week added. Three G3 central banks tightened in nine days into a long end at 19-year highs. Brent reached \$108 with Strait of Hormuz transits in single digits, five Iranian tankers destroyed, the Houthis holding two Red Sea islands, and Saudi Arabia's East-West pipeline out for weeks. NATO shot down a drone over Lithuania for the first time. China's fixed-asset investment is down 7.2% year to date and August bank lending was near zero. Oracle burned \$5.4B of free cash in one quarter with its equity program exhausted. The AI labs themselves began talking publicly about pacing the frontier and OpenAI deferred its IPO to 2027. The US consumer spent hard in nominal terms while sentiment fell to 47.8, one-year inflation expectations jumped to 4.6%, and real wages stayed negative. Michael Burry closed his December 2026 puts and kept the 2027 ones.

The game theory in one paragraph. Every major player has the same dominant move: keep the game going through the November 3 midterms. The Fed and Treasury are in a chicken game in which neither swerves before the election. Foreign holders rotate slowly into gold rather than dumping Treasuries. The AI complex cannot cut capex first, so the overbuild ends only when the financing channel closes. Iran keeps oil high without decisive escalation. Xi and Trump both need a truce.

The catch is that every "keep it going" move spends policy room the next round no longer has. The system is converging on financial repression because it is the only equilibrium that clears a \$2T deficit at a 5% marginal borrowing cost, and repression needs a crisis to become politically possible. The market has now refused voluntary yield caps three times. The path of least political resistance is crash, then repression.

Scenario probabilities, October 2



October 2 weights: Repression +1 (the Fed paused on a +29K payroll into 3.4% inflation; the Burns move is one meeting closer), AI Bust -1 (no tripwire; DRAM firm; NDX record). September 28 weights: Second Wave +3 (the intervention-fails clause fired; global long end broke out; oil reversed; Fed 72% to hike into a flattening curve); Muddle -3; AI Bust +1 (force majeure; capital-cycle indicator at 3); Escape -2; Fracture +1. Three scenarios now tie at 19%: the mechanism is chosen, the order is not.

Positioning implications (framework, not advice)

- Underweight long nominal Treasuries; hold bills and short TIPS instead. Duration is the future tax base of repression.
- Gold 10–15%. It rises in five of six scenarios; treat its edge as 3–5% a year over cash, not more.
- Equities at or below benchmark, tilted equal-weight, value, energy and real assets, ex-US.
- Avoid the AI-circularity credit chain: levered neoclouds, Oracle-profile credits, GPU-collateralized paper, private-credit data-center funds, tightest-decile high yield.
- Own convexity. In this regime drawdowns arrive as air pockets. The put model favors December 2027 and June 2028 index puts over anything expiring in early 2027.

2 · THE CRASH FORECAST

Most likely start: second half of 2027 to first half of 2028, modal quarter Q4 2027 (the prior)

Status note. As of September 28 this section is the *prior*: the judgment distribution that the crash-timing engine in section 2A blends with its own clocks. The engine's posterior currently agrees with it on the modal month and widens the interval. "Crash" here means a decline of 25% or more in the S&P 500 from its high. The distribution below is my judgment, built on the model's regime reading, the scenario weights, and the game-theory timing argument. It incorporates the 2028 presidential election as a reason the event can arrive later and larger, not as a reason it does not arrive.

WHEN THE CRASH STARTS	PROBABILITY	WHAT HAS TO BE TRUE
Before November 4, 2026	8%	A failed long-end rescue (the first one just failed to hold) or a private-credit gate wave overwhelms the pre-election policy put.
November 2026 to June 2027	14%	The post-election calendar stops helping immediately; the second hike lands on a stalling labor market; an AI credit event surfaces in Q1.
July 2027 to June 2028	38%	The AI financing chain meets its refinancing wall as the Fed holds 4%+; the consumer's zero cushion gives way; the long end refuses a fourth rescue. The modal path.
July 2028 to end of 2029	21%	The 2028 election put extends the game via premature easing (the 1972 Burns pattern); the top comes late and high; the bill is larger.
No 25%+ crash through 2031	19%	Productivity escape, or a Muddle in which the long end finally accepts issuance control without a dislocation.

So roughly 81% odds of a crash inside the five-year window and about 60% that it begins between now and mid-2028. The modal month is October 2027. The probability that the late-August record (7,799 on the S&P) was the cycle high is about 20%, down from 25% on September 28, because the NDX made a new record on October 2 with the S&P 0.9% below its own; the probability that the cycle high is in by the end of 2026 stays near 40%. The 1972-73 shape, new highs into the political date and then the bill, is still the modal near-term path, but the odds that the bond market interrupts it before the election went up this week.

The shape

Not a single day. A correction of 10% or more before the November 4 refunding is about 40% likely on the judgment prior, most likely in November 2026 around the refunding and the election, and would be bought, because the rescue incentive is intact and the tools, while degraded, still exist. The real break is a sequence: a credit event in the AI financing chain or a failed long-end rescue; a first leg of 20–30% over two to four months; a policy response large enough to open the Monetization Gate; then a second leg as the recession shows up in earnings and the consumer. The 2028 election makes it likelier that the second leg is deferred into 2028–29.

Why that window

- **The near term is held together by the calendar.** Incumbents' dominant move through November 3 is stability: buybacks, jawboning, strategic-reserve releases, tariff pauses, a clean continuing resolution to December 11. The tools are degraded but not yet gone.
- **The shocks need six to nine months to transmit.** \$108 oil, a Fed hiking into a 3.2% hires rate, and a 5% 10-year work through consumer credit, private-credit redemption queues, and the AI refinancing chain on a lag. Oracle, the neoclouds, and the private-credit funds face their cash and refinancing tests in 2027.
- **2027 is when the policy conflict resolves.** Pressure to cut into 3%+ core inflation peaks in the first half of 2027 after the midterms. A Fed that gives in produces the melt-up top; a Fed that holds produces the slowdown top. Both meet the bond market in late 2027 with the tools already spent.

What would move the date

Earlier (into H1 2027): a failed or failed-adjacent 30-year auction on October 8 (the first long-bond sale with the 30-year near 5.5%); private-credit redemption requests jumping again around October 1; the 30-year closing above 5.5% and staying there into the November 4 refunding; a third forensic confirmation in the AI chain (Oracle CDS verified above 250bp, a DRAM contract-price rollover, a capex guide cut); August hires rate printing below 3.2% on October 6.

Later (into 2028): the 30-year closing back under 5.30% for five sessions (the logged reversion rule); Treasury cutting long-coupon sizes on November 4 and the long end accepting it; a real Hormuz de-escalation taking Brent under \$85; the Fed stopping after one more hike with the long end rallying; October 1 gate requests falling; Micron guiding above \$55B with memory pricing firm.

2A · THE CRASH-TIMING ENGINE (RED-TEAM RESPONSE)

From "how dangerous" to "what breaks, when": October 2027 becomes a prior, and a hazard model reports the month

Two memos received on September 28, a red-team critique and a Dalio-methodology note ("BDCR 2.0"), argued that BDCR-26 scores levels rather than clocks, adds up correlated symptoms of one shock, treats the AI thesis as the required transmission, lets the election calendar move the date on narrative grounds, conflates 10%, 20% and 25% events, has no place for market internals or liquidity, was never tested against history as a set of explicit rules, and states "October 2027" as a judgment rather than a model output. All of that is accepted. The 32-indicator composite is kept as the structural layer, because its pre-registered thresholds and amendment log are the audit trail, and a new engine sits on top of it: nine de-duplicated causal factors; an explicitly encoded Dalio decision tree; 5 independent crash engines (sovereign, AI capital cycle, private credit, consumer, market plumbing) each with a first-crack chain stage, a reflexivity gain and a refinancing coverage ratio; three reflexivity loops with measured gains; a liability maturity clock by quarter to 2028; a hard AI cash-flow test with eight stresses; a marginal-rate sovereign engine with a Treasury-demand clearing model, a buyers'-strike detector, a failed-rescue counter and a policy-exhaustion clock; a three-of-five cross-market confirmation rule; a tier-tagged market-internals layer; a backtest of pre-specified mechanism rules on the 1881 to 2023 Shiller record, in and out of sample, with nothing fitted; a mechanism-matched historical analogue engine; a network-centrality model; and a monthly hazard model with three separate clocks whose confidence is defined as stability across 162 model specifications. The election calendar is now a deferral modifier on observed hazard, never a timing input. Every input carries an evidence tier (direct, near-direct, leading, structural, narrative) and narrative inputs cannot move the curve on their own.

Dalio decision tree: encoded conditions, current pass/fail

NODE	CONDITION (SPECIFIED BEFORE LOOKING)	READING	TIER	PASSES
1. Debt rising faster than income	federal debt growth vs nominal GDP growth (y/y)	debt +~7-8% vs NGDP +4.2% (E)	T4	YES
2. Debt service becoming restrictive	net interest / revenue >= 18% OR marginal r - g > 0	19.4% (V); marginal r-g +0.9pp (V)	T2	YES
3. Monetary policy unable to fully offset	Fed constrained by inflation: core PCE >= 3% with headline >3% while policy is restrictive; real EFR > 0	core 3.0% (revised, methodology), headline 3.4%, ISM prices 77.9; Oct hike ~17% after payrolls but no easing path with 6% consumer expectations (V)	T2	YES
4. Credit contraction	HY OAS > 400 OR bank C&I standards tightening > +20 net OR private-credit gates AND defaults > 6%	HY 280 (no); gates + 6.3% defaults (yes, private only)	T2	no
5. Spending deterioration	real retail sales < 0 y/y OR claims > 260K OR saving rate < 3.0% (old series; ~4.0% on the Sep-30 revised series)	real PCE +0.6% Aug, claims 197K, saving 4.1% (revised series); payrolls +29K and real wages negative are the leading edge but not the written condition	T2	no
6. Deleveraging regime	household or corporate debt/GDP falling with defaults rising	no	T2	no

Tree stage 3 of 6: past "monetary policy unable to offset," stopped at "Credit contraction." The bank and high-yield channel has not contracted and spending has not deteriorated. That is "amber, not red" stated as a causal chain, and it is the node the September 30, October 2 and October 6 prints test.

Reflexivity loops (one-year gain)

LOOP	GAIN	NOTE
Sovereign: yield -> interest -> deficit -> issuance -> yield	0.03	damped within a year; compounds into the 2028-29 interest step-up (V inputs)

LOOP	GAIN	NOTE
Credit: losses -> lending -> activity -> defaults	0.17	live in private credit only; the bank channel has not engaged (HY <300) (E)
Collateral: prices -> collateral -> margin -> forced selling -> prices	0.51	margin debt record, CTA down-tape branch engaged, buyback bid in blackout: the strongest loop today (E)

Gain scale: above 1 explosive, 0.3 to 1 self-reinforcing, below 0.3 damped. The collateral loop is the only one in the self-reinforcing band today; the sovereign loop is damped on a one-year horizon but compounds into the 2028 to 2029 interest step-up.

Dashboard

METRIC	VALUE / 100
Systemic vulnerability (structural, de-duplicated)	76
BDCR-26 additive composite (for reference)	70
Transmission stress	62
Policy capacity remaining	29
Reflexivity	24
Liquidity stress	62
Credit deterioration	55
Market internals	61
Catalyst proximity	91

The three-date output

CLOCK	MODAL MONTH	80% INTERVAL	36-MONTH CUMULATIVE	NEXT 3M / 3-6M / 6-12M / 12-18M / 18-24M / 24-36M
Date A: first crack (Tier-1 credit or liquidity event)	Oct–Nov 2026	Oct 2026 – Mar 2027	event, not index	Oct 1 gates and Car-Mart; Oct 8 30-year auction; Micron guide; Q3 BDC marks
Correction (10% or more)	Feb 2027	Nov 2026 – Feb 2028	88%	21% / 22% / 29% / 8% / 2% / 5%
Date B: bear market (20% or more)	Sep 2027	Feb 2027 – Feb 2029	53%	3% / 5% / 16% / 16% / 6% / 8%
Date C: systemic crash (25% or more with transmission)	Sep 2027	Feb 2027 – Mar 2029	51%	3% / 4% / 15% / 14% / 8% / 8%

Confidence: HIGH (score 0.83, half specification stability and half confirmation). Stability: 100% of 162 specifications (engine weight ± 0.15 , analogue blend 0.15 to 0.45, engine level $\times 0.7$ to 1.3, neighbours 12 to 30, deferral on or off) keep the systemic modal month within two months; modal-month distribution {'Sep 2027': 138, 'Jul 2027': 18, 'Oct 2027': 6}. Cross-market confirmation stands at 2 of 5 domains fully confirmed (3.0 weighted): Treasury stress yes; credit and equity breadth partial; funding plumbing and the real economy not confirmed. The three-of-five rule is not met, so the systemic hazard is gated to 74% of its unconfirmed value. Independent clocks converging on the second half of 2027 to the first half of 2028: 5 of 5. The engine's weight against the prior is $\lambda = 0.69$. First-crack candidate: **Oracle**. Most central node: **Nvidia**. Highest centrality times fragility: **OpenAI**. Primary transmission: engine A, sovereign, furthest along its chain on Tier-1 evidence. The prior's modal month is Oct 2027; the engine on its own puts the nearest pressure point at Apr 2027; the posterior lands on Sep 2027 because confirmation is missing and the pre-election deferral pushes near-term mass into 2027.

Moves earlier if: a Tier-1 event in the sovereign engine (an October 8 30-year tail of 4bp or more with cover under 2.2; a fails or repo spike at quarter-end); a second Tier-1 event in the AI chain (a default, an SPV impairment, a capex guide cut); or confirmation reaching three of five on two consecutive observations. **Moves later if:** the 30-year closes under 5.30% for five sessions; the November 4 refunding cuts long-coupon sizes and the long end accepts it; October 1 gate requests fall; the AI funding-gap coverage ratio rises above 1.2 on new equity.

What the first run found about the old forecast. The judgment prior put 8% of crash mass in the five weeks before November 4, a higher single-month density than any month of the "modal" July 2027 to June 2028 bucket. "October 2027" was therefore a modal-bucket claim, not a modal-month claim. The engine now reports the month, the interval and the confidence from the curve.

Four crash engines

ENGINE	CHAIN STAGE (0-7)	REFLEXIVITY	REFI COVERAGE	TIER-1 / TIER-2 ITEMS	CLOCK
E · Market plumbing	3	0.51	1.00	0 / 3	Sep 30 quarter-end funding test -> Oct 8 30Y auction -> Nov 4 QRA; thereafter whenever a 10% index move meets the collateral loop
A · Sovereign / bond-market	4	0.82	0.73	3 / 3	Nov 4 QRA (coupon sizes) -> Q1-27 refunding + \$9.7T rollover at 5%+ -> post-election coupon step-up and the Oct-8 30Y auction as the near test
B · AI capital cycle	2	0.55	0.90	1 / 3	Micron/DRAM contract rollover Q4-26 -> OpenAI 2027 round + Oracle FY27 debt need (Q1-Q2 27) -> OpenAI cash-out / write-off window (2028)
C · Private credit	5	0.50	0.85	0 / 4	Oct 1 Q3 windows -> Jan 1 Q4 windows (second gate wave) -> 2027 BDC unsecured maturities (placeholder)
D · Consumer / recession	1	0.35	1.05	0 / 4	payroll stall + 7.3% mortgages + \$100 oil transmit on a 4-8 month lag -> Q1-Q2 2027 (pulled forward from Q2-Q3 on the Oct 2 print)

Chain stages: 0 vulnerable borrower, 1 missed payment / covenant breach / force majeure, 2 lender concern, 3 spread widening, 4 funding contraction, 5 forced selling, 6 deleveraging, 7 equity crash. The AI engine is no longer a prerequisite: the hazard curve is the union of the four.

The sovereign engine is furthest along the chain and the only one with three Tier-1 items; the AI engine holds the single most important Tier-1 event (Oracle's force majeure) but no default.

AI funding-gap test, next 12 months (\$B)

CASE	REQUIRED	EXTERNAL FUNDING	EQUITY AVAILABLE	DEBT CAPACITY	GAP	COVERAGE
base	710		120	520	70	0.90
rates +100bp	710		120	442	148	0.79
rates +200bp	710		120	364	226	0.68
AI revenue -30%	780		120	520	140	0.82
spreads +150bp	710		120	403	187	0.74
utilization -20%	724		120	520	84	0.88
asset values -25% (GPU/DC collateral)	710		120	474	116	0.84
financing window half-closed (-30%)	710		120	364	226	0.68
all: +100bp, rev -30%, spreads +150, util -20%	795		120	325	350	0.56
severe: +200bp, rev -30%, assets -25%, financing -30%	780		120	233	428	0.45

Inputs: big-4 capex \$850B (2027 estimate, from \$725B verified for 2026) against ~\$475B of operating cash flow and ~\$180B of other uses; OpenAI, Oracle and neocloud needs from the liability clock; equity of ~\$120B; debt capacity of ~\$520B at current spreads, shrinking 15% per 100bp. The complex funds itself only if the investment-grade market keeps absorbing about \$500B of AI paper at roughly 115bp over Treasuries; the measurable clock is that spread, not the capex number.

Sovereign engine

- About \$11.8T of Treasury debt reprices in the next 12 months (a third of marketable debt plus the deficit) at a marginal rate near 5.1% against a 3.41% average coupon: roughly \$200B a year of added interest from one year of rollover. Net interest is 19% of revenue. Marginal r minus g is +0.9pp while the average-coupon r minus g is still negative, which is the memo's point about averages masking the margin.
- Treasury-demand clearing for FY27: \$2.10T required, ~\$1.35T identified from banks, money funds, foreign official and private buyers and bills-only Fed purchases; residual ~\$0.75T for price-sensitive domestic buyers, worth about +19bp of required yield at 25bp per trillion. The demand inputs are estimates; the structure is the deliverable.
- Reflexivity loop (yield to interest to deficit to issuance to yield): gain 0.03 percentage points per point per year, damped within a year but compounding into the 2028–29 interest step-up.
- Buyers'-strike detector: persistent (score 0.77; the 7-year result is missing). Failed-rescue counter: half-lives [4, 6, 2, 2] sessions, fill ratios falling, decaying = False. Policy-exhaustion clock: 29 of 100 capacity remaining.

Backtest of pre-specified mechanism rules, 1881 to 2023

Rules written from the mechanism before looking at outcomes, nothing fitted. R1, no-cushion valuation: CAPE at or above 25 and earnings yield minus the 10-year at or below +0.5 points. R2, rate shock into richness: CAPE at or above 25 and the 10-year up 0.75 points or more in 12 months. R3, top formation: R1 with a 12-month return of 10% or more and realized volatility rising. Today satisfies all three. Outcome is a drawdown of the stated size from the running high within the stated horizon on Shiller monthly prices, with an in-sample and out-of-sample split at 1960.

STATE	N MONTHS	P (−10% IN 12M)	P (−20% IN 24M)	P (−25% IN 36M)	PRE-1960 N: −25%/36M	POST-1960 N: −25%/36M
R1 no-cushion valuation	89	51%	47%	52%	0: −	89: 52%
R2 rate shock into richness	17	41%	53%	59%	0: −	17: 59%
R3 top formation	29	28%	17%	31%	0: −	29: 31%
R1 AND R2 (today)	12	50%	75%	75%	0: −	12: 75%
ALL months (base rate)	1674	38%	29%	32%	948: 37%	726: 24%

Episodes in today's joint state (R1 and R2): [['1997-01-01', '1997-01-01'], ['1999-09-01', '2000-05-01'], ['2004-05-01', '2004-06-01']]. Read the lift against the base rate. The joint state has occurred only after 1960 and only in a handful of months, so the out-of-sample half of the test is empty for it: the mechanism has historical support in the sample that exists, and the test says that rather than more.

Historical analogue engine, mechanism-matched

State vector at t, t−3, t−6 and t−12 months (CAPE level and z-score, 12-month return, 12-month change in the 10-year, realized volatility, equity risk premium) over the Shiller monthly record from 1881 to 2023; candidates restricted to months that satisfy R1 or R2 at the match date, so matches share the transmission mechanism and not merely the chart; distance is half point-distance and half dynamic time warping over the trajectory; twenty nearest states, de-clustered at 18 months. Current inputs are estimates (12-month return +17%, 10-year +1.0pp, CAPE 40.9, ERP −0.6). The engine's level is calibrated to the analogue cumulatives and its shape comes from the five clocks.

MATCH	CAPE	MONTHS TO −10%	TO −20%	TO −25%
2000-02	42.2	10	13	19
1997-11	32.3	10	>36	>36
2018-09	32.6	3	>36	>36
2002-06	26.4	1	>36	>36
2007-10	27.3	3	11	12
2004-06	26.4	>36	>36	>36
1996-03	25.6	30	>36	>36

Monthly hazard, all three clocks (percent; P(event in month t | none before t))

MONTH	CORRECTION POST	BEAR POST	SYSTEMIC PRIOR	SYSTEMIC ENGINE	SYSTEMIC POSTERIOR	SYSTEMIC START PROB.
Oct 2026	7.9	0.9	3.1	1.1	1.0	1.0
Nov 2026	9.2	1.0	3.3	1.3	1.0	1.0
Dec 2026	6.0	1.2	1.7	1.2	1.0	1.0

MONTH	CORRECTION POST	BEAR POST	SYSTEMIC PRIOR	SYSTEMIC ENGINE	SYSTEMIC POSTERIOR	SYSTEMIC START PROB.
Jan 2027	6.0	1.2	1.7	1.2	1.0	0.9
Feb 2027	11.8	1.8	1.7	1.3	1.5	1.5
Mar 2027	12.9	2.0	2.0	1.3	1.7	1.6
Apr 2027	10.6	2.7	2.2	2.1	2.3	2.2
May 2027	10.8	2.8	2.5	2.1	2.4	2.2
Jun 2027	11.0	2.9	2.7	2.1	2.5	2.2
Jul 2027	11.2	3.3	4.8	2.0	3.1	2.7
Aug 2027	11.5	3.5	5.4	2.0	3.3	2.8
Sep 2027	11.8	3.7	6.1	2.0	3.5	2.9
Oct 2027	6.3	3.8	6.9	1.2	3.2	2.5
Nov 2027	6.1	3.8	7.0	1.1	3.2	2.4
Dec 2027	5.8	3.8	7.1	1.0	3.2	2.3
Jan 2028	5.5	3.8	7.1	0.9	3.1	2.2
Feb 2028	5.0	3.7	7.1	0.8	3.0	2.1
Mar 2028	4.5	3.7	7.0	0.7	3.0	2.0
Apr 2028	4.0	2.9	6.9	1.5	3.5	2.3
May 2028	2.0	2.1	6.7	1.4	2.5	1.5
Jun 2028	1.7	2.2	6.5	1.3	2.3	1.4
Jul 2028	1.5	0.9	2.8	1.2	1.4	0.8
Aug 2028	1.3	0.9	2.9	1.1	1.3	0.8
Sep 2028	1.2	0.8	3.0	1.1	1.3	0.8
Oct 2028	1.9	0.8	3.1	0.1	0.8	0.5
Nov 2028	1.8	0.8	3.2	0.1	0.8	0.5
Dec 2028	3.1	1.2	3.3	0.1	1.2	0.7
Jan 2029	3.0	1.2	3.4	0.0	1.2	0.7

MONTH	CORRECTION	POST	BEAR	POST	SYSTEMIC	PRIOR	SYSTEMIC	ENGINE	SYSTEMIC	POSTERIOR	SYSTEMIC	START	PROB.
Feb 2029	3.0		1.2		3.5		0.0		1.2			0.7	
Mar 2029	3.1		1.3		3.7		0.0		1.3			0.7	
Apr 2029	3.1		1.3		3.8		0.0		1.3			0.7	
May 2029	3.2		1.3		4.0		0.0		1.4			0.7	
Jun 2029	3.2		1.4		4.1		0.0		1.4			0.7	
Jul 2029	3.3		1.5		4.3		0.0		1.5			0.8	
Aug 2029	3.4		1.5		4.5		0.0		1.5			0.8	
Sep 2029	3.5		1.6		4.7		0.0		1.6			0.8	

Adopted, changed, rejected

- **Adopted in full:** causal factors; an encoded Dalio decision tree; five engines with chain stage, reflexivity and coverage; three reflexivity loops with gains; the liability clock (first fill, with placeholders tagged); the hard cash-flow test with +100bp, +200bp, revenue, utilization, asset-value and financing-availability stresses; the marginal-rate sovereign engine, clearing model, buyers'-strike detector, failed-rescue counter and policy-exhaustion clock; three-of-five confirmation; internals and plumbing as a timing layer; a backtest of pre-specified rules against the base rate in and out of sample; mechanism-matched analogues with dynamic time warping; network centrality; the monthly hazard model with three clocks; confidence as stability across specifications; evidence tiers; the election calendar as a deferral modifier; forecast separated from trade timing; October 2027 reclassified as a prior.
- **Changed:** the composite is kept as the structural layer rather than replaced. The hazard model is a Bayesian blend of prior and engine, with the engine's weight set by confirmation and convergence, rather than a fitted survival model, because ten to twenty episodes cannot support one without a prior. Dynamic time warping runs over four trajectory points, not 24-month windows, which overfit the 1929 and 2000 shapes.
- **Rejected or deferred:** a fitted survival regression (sample too small); a full maturity database and debt-to-GDP or credit-growth history for the tree backtest (no access to EDGAR, LCD, Bloomberg or FRED from this environment; the clock ships with tagged placeholders and the backtest uses the price, valuation and rate rules the available record supports). Full tables are in hazard_report.md and the module is bdc27_timing_engine.py.

3 · WHERE THE MODEL STANDS

Composite 70.3 of 100 · R3-upper — repression-lite onset (R4 band, Monetization Gate NOT met)

The composite equals the weighted sum of the 32 scores divided by three, scaled to 100. Regime bands are half-open: R3 covers 45 to 70, R4 covers 70 to 85, R5 covers 85 and above. Entering the R4 band does not produce a Regime 4 call unless the Monetization Gate is met (Fed duration purchases, yield caps, or sustained negative real policy rates under fiscal pressure). Treasury buybacks count toward the 30-year stress indicator but explicitly do not count toward the gate. The Crisis Gate for R5 requires a score of 85 plus one crisis event, or any two crisis events at any score.

PILLAR	POINTS	MAX	SHARE
1. Fiscal	38	51	75%
2. Supply/Demand	36	48	75%
3. Monetary	24	39	62%
4. Fragility	28	36	78%
5. Bubble	35	42	83%
6. Consumer	20	39	51%
7. Big Cycle	30	45	67%
Composite	211	300	70.3

The two changes this week (September 22 to 28). First, a structural amendment, applied prospectively for the first time: a new bubble-pillar indicator, net investment to GDP (S&P 500 capex minus depreciation over nominal GDP), with thresholds 0 below 1.0%, 1 for 1.0–1.5%, 2 for 1.5–2.0% (the 2007 and 2014 peak zone) and 3 at 2.0% or more (the 2000–01 zone). The reading is 2.07% as of June 30, 2026, so it scores 3. Its weight of 2 was taken from top-10 concentration (2 to 1, redundant with CAPE and the risk premium) and the AI capex-to-revenue gap (3 to 2, which now carries less of the capital-cycle signal), so the total stays at 100 and the amendment alone adds 0.3 points. Second, 30-year yield stress moved from 2 to 3 under the fourth clause of the September 10 amendment, an official long-end intervention that fails to hold: Treasury's September 24 buyback took \$4.08B of a \$6B cap with the 30-year at 5.44–5.50%, and the 30-year traded 5.56% two sessions later. That adds 1.3 points. The original rule, a close at or above 5.5%, is not yet confirmed in the record (the September 25 and 28 closes could not be retrieved), so the upgrade is logged as an amendment-clause call, with a reversion rule: back to 2 if the 30-year closes under 5.30% for five sessions. Every other indicator was tested and held. Eight of 32 indicators sit at 3; 20 sit at 2. "Amber everywhere, red almost nowhere" is still the signature, with a little more red.

All 32 indicators

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
1. FISCAL · 38/51 POINTS			
Net interest / federal revenue 0:<10% 1:10-14 2:14-18 3:>=18 (1991 record ~18; UK-1976 >20)	[Sep-16] net interest >\$1T FY26 (AAF, Aug MTS); ratio ~19-20% (earlier: ~18.6% FY26 (\$857B net interest in 9mo, +13% y/y))	6	3

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Deficit % of GDP 0:<3 (Dalio's 3% solution) 1:3-5 2:5-7 3:>=7	[Oct-2] CR to Dec 11 SIGNED (no shutdown); TGA ~\$984B Sep 30 (vs \$950B assumed); IEEPA refunds ~\$122B certified, CAPE phase 3 Oct 6; FY26 closed ~\$2.1T (~6.6% GDP); Q2 GDP revised up to 2.2% improves the denominator marginally. Held 2 (earlier: [Sep-28] CR to Dec 11 passed the House 370-48; IEEPA refunds ~\$122B disbursed and tapering; FY26 closes Sep 30 at ~\$2.1T (~6.6% GDP). Held 2 (3 requires >=7%); [Sep-22] CBO lifts FY26 to \$2.1T on a ~\$250B tariff shortfall (~6.6% GDP); IEEPA refunds \$135B paid; [Sep-16] FYTD (11mo) \$2.0T, ~6.3-6.5% GDP; CR funds govt to Dec 11; 5.8-6.1% (FY26 tracking \$1.9-2.0T; tariff offset gutted by SCOTUS IEEPA ruling))	6	2
Debt held by public % GDP 0:<75 1:75-90 2:90-105 3:>=105 (1946 peak 106; CBO crosses ~106 by 2029-30)	100.2% — crossed 100% April 2026; CBO path 118% by 2035	3	2
r-minus-g on federal debt 0:<=-1.5pp 1:-1.5-0 2:0-+1 3:>+1pp	-0.6 to -0.9pp (avg coupon 3.41% vs ~4-4.3% NGDP) but marginal 10Y = 4.63%	2	1
2. SUPPLY/DEMAND · 36/48 POINTS			
10Y term premium 0:<0 1:0-0.5 2:0.5-1.0 3:>=1.0%	[Oct-2] BEAR-STEEPENING on weak data: 2Y 4.92 -> 4.84 while the 10Y held 5.28-5.30 and the 30Y 5.63; 2s10s ~32 -> ~44bp in a week as the October hike was priced out -- a long end that does not rally on a +29K payroll is term premium by construction. ACM/Kim-Wright still not retrievable; 0.5-1.0 band assumed intact. Held 2; -> 3 if ACM prints >=1.0 or 2s10s >60bp with the 2Y falling (earlier: [Sep-28] 10Y 5.17% close Sep 25 / 5.23% intraday Sep 28 (highest since June 2007); 2Y 4.81-4.90 (highest since 2023); 2s10s flattest of the year (~31bp Sep 24) then +36bp; ACM/Kim-Wright TP still not retrieved -- the 2Y moved almost as much as the 10Y, so the rise is largely expected-path, not term premium. Held 2; [Sep-16] 10Y 5.008% post-FOMC (intraday >5.04%, highest since 2007); ACM TP not retrieved — score held; 0.73% (Jul 2026) — highest since 2014 after a decade near zero)	4	2
Auction stress composite 0:none 1:occasional 2:>=6 serial tails OR dealer 2x norm 3:tail>=4bp & BTC<2.2 at 10/30Y	[Oct-2] 7Y (Sep 24) \$44B at 5.085% (vs 4.512% in Aug), ~3bp above WI, BTC 2.42, indirects 57.2%, dealers 12.5% = 'below average'; 5Y tail now reported as 0.7bp by one outlet vs 3.1bp carried (CONFLICT; indirects 61.6% from 74.9% agree it was weak); Oct 1 bills covered 2.7-2.8x and SOFR 3.90% at quarter-end = the SHORT end is fine. Serial belly weakness continues (2Y average, 5Y weak, 7Y weak); no >=4bp tail with BTC <2.2 at the 10/30Y. Oct 7 \$39B 10Y and Oct 8 \$22B 30Y reopenings are the test. Held 2 (earlier: [Sep-28] Sep 23 \$70B 5Y auction stopped 5.033% (first >5% since 2007): 3.1bp TAIL, bid-to-cover 2.21 -- the closest any auction has come to the 3-clause (needs >=4bp tail AND BTC <2.2 at the 10Y/30Y; this was the 5Y). 7Y (Sep 24) result not retrieved. Oct 8 30Y auction is the test. Held 2; [Sep-22] 2Y auction 4.787% (highest since 2024), 0.2bp tail, indirects 57.8% (from 66%), dealers 13.2% (highest since Mar); 20Y Sep 15 stopped 5.42%; no >=4bp tail; [Sep-10] Score rests on the '>=6 consecutive tails in any tenor' clause: 5Y tail streak continued (Aug 26 +0.2bp). NOT on the 10Y: Sep 9 10Y BTC 2.71 (best since 2019), dealers 4.3%, stop-through — demand clears at a higher price. No failed-adjacent auction)	5	2

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Foreign official demand 0:official buying >\$100B/y 1:flat 2:official selling, private offset 3:broad selling >\$300B/y	[Oct-2] Japan: MOF weekly (wk to Sep 26) net SOLD JPY684.5B of foreign bonds; Aug intervention dollars came via the Fed's FIMA repo (borrowing against USTs, not outright sales) -- the Sep-10 rule holds: intervention-funded flows are not scored as new stress; Katayama + Bessent jointly call the yen 'undervalued' (Sep 29) = intervention risk live; JGB 10Y 3.11%, 30Y ~4.21%. Oct 1 USTs rallied on FRENCH haven flows (OAT-Bund widest since 2012) -- foreign demand still arrives, episodically and at a price. Aug TIC ~Oct 16. Held 2 (earlier: [Sep-28] Xi-Trump summit (Sep 24-25): truce extended ~2 months to early 2027, tariff cuts on ~\$30B of goods, purchase pledges -- no Treasury-holdings language; Trump reportedly flagged yen weakness to Takaichi (Sep 22/25); JGB 30Y 4.13%, 10Y 3.06% (since 1996) keeps Japanese repatriation risk live; Aug TIC due mid-Oct. Held 2; [Sep-22] July TIC: holdings -\$50.4B to \$9.25T (Japan -\$12.8B, 3rd straight); LT flows: PRIVATE net sellers -\$3.7B, official net buyers +\$44.4B (intervention-funding pattern, per the Sep-10 rule not scored as new stress). Held 2; Official SOLD \$39.9B May-26; China \$652B (-\$113B y/y); private +\$172B offset)	3	2
30Y yield stress level 0:<4.5 1:4.5-5.0 2:5.0-5.5 3:>=5.5% (forced-intervention zone)	[Oct-2] The ORIGINAL >=5.5% CLOSE rule is now CONFIRMED independently of the amendment: every 30Y close this week >=5.50 (Sep 28 5.56, Sep 29 5.585, Sep 30 5.632 = highest since 2002, Oct 1 5.613, Oct 2 ~5.63); 10Y intraday 5.342% Sep 30 (highest since Apr 2002), close 5.28 Oct 2 after a 6bp payroll rally fully reversed within hours. Oct 1 buyback: FULL \$6B accepted of \$46.4B offered (7.7x; Sep ops ~\$10.5B) in two 2041-42 issues at 67-76c -- holders want out; the 30Y regained its pre-op level within 2 sessions (fourth rescue, shortest half-life yet). Cap unchanged at \$6B to Nov 4. Score 3 on both routes; reversion rule (5 closes <5.30) unchanged (earlier: [Sep-28 UPGRADE 2 -> 3 under the Sep-10 amendment's intervention-fails clause] Treasury's 20-30Y buyback Sep 24 took \$4.08B of a \$6B cap (\$10.47B offered) with the 30Y at 5.44-5.50% intraday; two sessions later (Sep 28) the 30Y traded 5.56% (CNBC intraday; highest since 2004) -- yields at/above the pre-intervention level within 5 sessions = the clause as written. Also: Sep 23 ~5.40% close (highest since 2004), Sep 24 intraday 5.501%, MOVE 80 -> 104.6 (Sep 24). The original >=5.5% CLOSE rule is NOT yet confirmed (Sep 25/28 closes not retrieved; one source has Sep 24 at 5.438%) -- flagged. Reverts to 2 if the 30Y closes <5.30% for 5 sessions; [Sep-22] 5.29% (high close 5.33% Sep 18; 20Y 5.39% Sep 16); 10Y back to 4.95-4.97% on oil; 2s10s ~20bp (bear-flattening). Amendment clauses still unmet (no 5 closes >5.40; ops \$4-6B; Fed hiking; the Sep-10 op's pre-op level was regained only on session 6). Held 2; [Sep-16] 5.25% last verified (Sep 15); ~5.35-5.40 implied by 10Y 5.01 + 30-37bp 10s30s (5.37% headline UNVERIFIED). Amendment clauses: >5.40 x5 sessions NO; buybacks >\$10B/op NO (\$4-6B); Fed duration NO; intervention-fails clause NOT met on the 30Y itself (5.31 pre-op -> 5.25). Held at 2; [Sep-10] 5.31% (2007 high; 5.33% Aug-18 peak) after TWO Treasury buyback escalations (Aug 19 \$4B/op, Sep 9 \$6B/op) each retraced within sessions. WATCH: score held at 2 under the unamended >=5.5% rule; see prospective amendment in log)	4	3
3. MONETARY · 24/39 POINTS			
Core PCE y/y 0:<2.5 1:2.5-3.0 2:3.0-4.0 3:>=4.0%	[Oct-2] Aug core PCE 3.0% y/y (July revised 3.3 -> 3.0 by the annual deflator update: software/portfolio-fee methodology, ~-0.15 to -0.18pp; a methodology artifact, not disinflation); headline 3.4%; ISM prices paid 77.9 (highest since the Iran war began); Q2 GDP revised 1.5 -> 2.2%. 3.0 sits ON the band-2 floor [3.0, 4.0] -> held 2; reverts to 1 only on a print <3.0 with the methodology effect excluded (earlier: [Sep-28] Aug PCE + saving rate + Q2 GDP third estimate + annual revision all land Sep 30; gasoline \$4.49 (record for late Sept) and Brent back to \$105-107 after the Iran plan was rejected; Barr: inflation 'not clearly trending toward target'. Held 2 pending the print; 3.4% (May-26, m/m highest since Oct-23); headline PCE 4.1%)	4	2

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Inflation expectations (survey vs market) 0:<2.9 1:2.9-3.2 2:3.2-3.5 or gap>1pp 3:>=3.5 or breakeven>2.8	[Oct-2] UMich 5-10y FINAL 3.4% (one tick from the 3.5 trigger), 1y 4.6%; Conference Board 12-m expectations 6.1% avg / 5.1% median, confidence 81.9 (lowest since 2014), expectations 63.6; 10Y breakeven ~2.3-2.4% (TIPS 2.89 vs 10Y 5.23) = survey-market gap >1pp persists. Held 2 (earlier: [Sep-28] UMich final 48.1 (prelim 47.8), 1y 4.6%, 5-10y final NOT retrieved (prelim 3.4 = one tick from 3.5); flash PMI price components hot (Sep 23); Brent reversed back to \$105-107 (Sep 28). Held 2; [Sep-22] Philly Fed prices paid 48.6; CFO survey +4.1% planned price increases; UMich final Sep 25; Brent -10% to ~\$97 eases the impulse; [Sep-16] UMich 5-10y 3.4% (one tick from the 3.5 trigger), 1y 4.6%; import prices +7.0% y/y, PPI 5.4%; breakeven not retrieved; UMich 5-10y 3.3%, 1y 4.2%; 10Y breakeven anchored 2.28% — ~1pp gap)	3	2
Fed independence stress 0:none 1:rhetoric 2:attempted removals/probes/accord machinery 3:commanded easing	[Oct-2] Trump: Powell 'should be forced to resign' from the Board (Sep 30, after the Fed IG found no misconduct on the renovation) = continued pressure, no removal action, no commanded easing. Payrolls +29K (revisions -60K, July now -10K), UR 4.2%, AHE 3.0%: Oct hike odds collapsed to ~17% (from ~36% a week earlier, 72% on Sep 28); December still the base case per the SEP; no removal action, no commanded easing. The hike cycle may be over on data, not on pressure -> held 2 (earlier: [Sep-28] Oct hike odds 55% -> 72% (CME, Sep 28) after Barr ('out of position', 'further adjustments likely needed') and Musalem; the Fed is tightening INTO the president's 1%-rates demand with no removal action -- the firewall is functioning, so no 3. Held 2; [Sep-22] Trump: rates 'should be 1% or less', board 'very hostile... political', told Warsh to 'vote with the board'; no removal action; Barr seen as next target; Fed speakers (Collins, Goolsbee, Musalem, Barkin) all keep hikes on the table; Oct hike ~55%; [Sep-16] Fed HIKED 25bp 12-0 (incl. Cook) despite Trump 'clowns' / 'I won't allow that' / trade-halt threats — independence functioning; pressure at 2, not 3 (no commanded easing); Cook firing blocked 5-4; criminal probe of a Fed chair; Warsh confirmed 54-45 — but FOMC is HIKE-biased)	4	2
Monetization & real-rate stance (Stage-5 GATE) 0:real>=+1%, no buys 1:0-1%, bills-only 2:real<0 w/ PCE>3 OR coupon QE 3:YCC / real<-1% + QE	[Oct-2] Oct hike ~17% after the +29K payroll; real EFFF vs core PCE 3.0 = ~+0.9% (revised core flatters it); RMPs bills-only; Treasury buybacks \$4-6B/op, TGA ~\$984B (no TGA drawdown for buybacks found); CR to Dec 11 signed. Gate CLOSED; the first gate test now moves to the Oct 27-28 statement language (a hold with easing bias into 3.4% headline = Burns proximity, not the gate) (earlier: [Sep-28] Oct hike 72% priced (a second hike in 2027 implied by the 2Y at 4.90%); real EFFF ~+0.4-0.5%; Treasury's Sep 24 20-30Y buyback UNDER-filled (\$4.08B of \$6B) -- the fiscal side did not chase the market either; Fed duration purchases zero. Gate CLOSED and, if anything, further from opening; [Sep-22] Oct 27-28 hike priced ~55%, Dec ~90%; real EFFF ~+0.4%; RMPs zero this cycle; Treasury still buying long end (\$4-6B/op, next sizing at Nov 4 QRA). Gate CLOSED; [Sep-16] Fed hiked to 3.75-4.00%, median one more 2026 hike; real EFFF ~+0.3-0.5%; bills-only RMPs. Gate more firmly CLOSED; Treasury still buying duration (\$4-6B/op) — pre-Accord conflict persists; [Sep-10] Fed: real EFFF ~+0.3%, bills-only, ~59% priced to HIKE Sep 16 = affirmative evidence AGAINST the gate. Treasury buying duration (\$6B/op, bill-funded 'Treasury Twist') counts toward 30Y stress (market forcing fiscal action) but NOT toward this gate, which requires the FED to accommodate: documented trigger = Fed duration purchases or a formal cap)	2	1
4. FRAGILITY · 28/36 POINTS			
Shiller CAPE 0:<25 1:25-32 2:32-40 (>1929's 32.6) 3:>=40 (only Dec-1999's 44.2 higher)	[Oct-2] S&P 7,726 (-0.9% from the Aug 26-27 record), NDX NEW RECORD close 30,808 (Oct 2) on the soft payroll, NVDA record \$234 (~\$5.6T); breadth the worst seen at a near-record index: NYSE new lows > new highs 23 straight sessions, 43-49% above the 200dma, 75% of the S&P fell in September, RSP -1.9% in Q3 vs SPX +2.0%. CAPE ~40-41 unchanged -> 3 (earlier: ~40.9 (live 40.6-40.9, Jul 2026); Buffett indicator 234% of GDP (record; dot-com peak 172%))	5	3

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Equity risk premium 0: >=+3pp 1: +1-3 2: 0-1 3: <=0	[Oct-2] 10Y 5.29% close (intraday high 5.34%, highest since 2002) vs fwd E/P ~4.45-4.65% at S&P 7,726 = -0.65 to -0.85pp, a new cycle low; the 10Y ROSE 6bp on a +29K payroll (bonds refused the dovish read). Stays 3 (earlier: [Sep-28] 10Y 5.17% close (Sep 25) / 5.23% intraday (Sep 28) vs fwd E/P ~4.45-4.65% at S&P 7,743 = -0.5 to -0.8pp: the most negative reading of the cycle; stock-bond correlation positive on every session of the week (bonds not hedging). Stays 3; [Sep-22] 10Y 4.95-4.97% (>4.85 revert line) vs fwd E/P ~4.45-4.65% at S&P 7,776 = -0.3 to -0.5pp. Stays 3; [Sep-16] 10Y 5.008% vs fwd E/P 4.55-4.85% (21-22x fwd carried from Jul; S&P ~7,600) = -0.45 to -0.15pp; midpoint -0.3 -> band 3. Single-input change (10Y). REVERTS to 2 if 10Y <4.85% or fwd P/E <20x. Was: straddled zero at 10Y 4.63)	3	3
Credit complacency/stress (two-sided) 0: HY 350-500 1: 300-350/500-600 2: <300 (complacency) or 600-800 3: >800 or PC defaults>6%	[Oct-2 DOWNGRADE 2 -> 1 under the written threshold] FRED BAMLH0A0HYM2 (this indicator's declared series) printed 308bp Sep 29 / 312bp Sep 30: the '<300 complacency' clause no longer holds and no stress band is reached -> band 1 (300-350). Caveat: the Bloomberg 2%-capped HY index sits at 294 and the readings carried since Sep 10 (265-280) appear to have mixed series; on a consistent FRED basis the Sep 22 reading was likely ~290. Private credit: Fitch 6.3% record, all gates repeat 5% (OTIC 39% requested; BCRED ~10%; ADS 14.7%; HLEND ~11.5%), no insurer writedown / BDC bond >600 / covenant breach; CCC 1,179bp. The two-sided design scores a normalizing spread as benign even while private-credit defaults sit above the original 3-clause -- PROSPECTIVE AMENDMENT logged: score = max(spread band, private-credit band) from the next review (earlier: [Sep-28] HY OAS 268 -> 280bp (first widening since the Sep 16 hike; CCC 1,112bp); SoftBank priced the largest junk deal ever (\$11.1B, sub-10%) to wire \$10B to OpenAI Oct 1; CoreWeave-tenant DC paper 9.25% (+270bp vs comps) vs Meta-tenant 8.25% five days earlier -- the AI credit curve is tiering by tenant. No insurer/pension writedown, BDC bond >600, covenant breach, or HY >500. Oct 1 gate/redemption notices ahead. Held 2; [Sep-22] HY OAS 268bp; Fitch private-credit TTM default 6.3% (record, from 6.1%); ALL tracked perpetual BDCs capped at 5% in 2Q; OBDC marked Loparex ~5c; public BDCs ~25% below NAV; no insurer writedown / BDC bond >600 / covenant breach / HY >500. NOTE: the original written clause 'PC defaults >6%' is now exceeded; the Sep-10 amendment (which made the four listed triggers the scoring rule) governs -- held 2; flagged for the next rule review; [Sep-16] HY OAS 265bp (Sep 11); BCRED capped 5% for 2nd straight qtr; Blue Owl/HLEND Q3 ~Oct 1; no insurer writedown / BDC >600 / covenant breach / HY >500 -- held at 2; [Sep-10] HY OAS 265bp / IG ~78bp richest decile; Fitch private-credit default rate RECORD 6.1% (headline incl. extensions); BCRED capped 3rd qtr, Cliffwater capped; BDC median discount ~26%, non-accruals highest since 2017; LL defaults 0.87%. 'High 2' -- the 3-clause's transmission-to-insurers/pensions leg is NOT evidenced)	4	1
5. BUBBLE · 35/42 POINTS			
Top-10 S&P concentration 0: <22 1: 22-27 (2000 peak) 2: 27-35 3: >=35%	[Oct-2] NDX record with the S&P 0.9% below its own and 75% of its members down in September: concentration at a cycle extreme; NVDA ~\$5.6T, AMD crossed \$1T. Held 3 (earlier: [Sep-28 AMENDMENT] weight 2 -> 1 (redundant with CAPE/ERP; weight moved to the new capital-cycle indicator); ~38% top-10 (top-5 ~30%, most in 50+ yrs); AI names = 75% of returns since Nov-22)	1	3
AI capex-to-revenue gap 0: <\$100B 1: 100-300 2: 300-500 3: >=\$500B	[Oct-2] Micron FQ4 \$54.2B (+379% y/y), FQ1 guide \$61.5B, FY27 capex RAISED to >\$40B (from ~\$26B): the supply response the capital-cycle indicator predicts is now funded; hyperscaler 2026 capex unchanged ~\$700-725B; no revenue-side update. Held 2 (earlier: [Sep-28 AMENDMENT] weight 3 -> 2 (net investment/GDP now carries the capital-cycle signal); ~\$455-525B: big-4 2026 capex \$725B (+77% y/y, confirmed) vs genAI revenue ~\$200-270B; midpoint ~\$490B -> band 2 by tiebreak; divergence 46% vs 32% at telecom-2001 peak)	2	2

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Circular / vendor-financed revenue share 0:<5 1:5-15 2:15-30 (Lucent zone) 3:>=30% or vendor debt guarantees at scale	[Oct-2] SoftBank FUNDED the final \$10B OpenAI tranche Oct 1 (\$30B program complete, ~13% stake) with 8.6-9.75% junk; SB CDS >400bp; Broadcom seeking >\$60B of debt (up to ~\$100B incl. junior) with Apollo/Blackstone for Anthropic chips, Broadcom guaranteeing part of the senior; Anthropic targeting a mid-Nov IPO at up to \$2T; AMD \$5B into Anthropic. Vendor credit support at scale keeps widening -> held 3 (earlier: [Sep-28] ORCL 10-Q: \$11.4B of customer prepayments with a 'significant financing component' (ASC 606) — Oracle books interest on them and later recognizes ~\$1.9B more cloud revenue than collected, cost in interest expense (Burry). Vendor-side financing now embedded in revenue recognition; candidate rule for next review; [Sep-10] SIGNED: NVDA \$105B residual-value guarantee on OpenAI's 20-yr Ohio lease (8-K Aug 17; cut from \$250B) = vendor credit support >= 1 quarter of revenue and > NVDA's \$99B equity book (stakes in its own customers). Watch, not counted: \$500B platform (no deal), \$36B rev-share (paused), Broadcom ~\$100B (assembling))	2	3
Debt/SPV-financed share of AI capex 0:<10 (2024 cash phase) 1:10-20 2:20-35 3:>=35% (JST regime-flip)	[Oct-2] Hyperscaler IG issuance Sep-Oct running >2x the sector's annual average (Bloomberg); Broadcom/Anthropic >\$60B debt package in the market; CoreWeave \$35.6B debt principal, ~6.8x net leverage, 2031s low-teens yield; no new SPV this week. Held 2 (approaching 35%) (earlier: [Sep-28] Burry tally: ~\$3T of off-balance-sheet purchase commitments, uncommenced leases (MSFT >\$300B, AMZN ~\$267B), guarantees, CIP and SPVs (META ~\$700B, GOOGL ~\$900B commitments/exposures) across the big five; replaces the ~\$2.4T carried since Sep 10; Moody's: uncommenced leases = 113% of on-BS debt; [Sep-22] AI-related USD debt YTD \$568B (\$259B IG, \$256B private, \$40B HY); GS \$420B hyperscaler bonds 2027; AI-issuer spread ~115bp vs IG 78bp; Meta DC ladder pricing wider each deal (7.5% -> 8.25%). Approaching 35%; held 2; [Sep-16] ORCL \$20B ATM exhausted, FCF -\$5.4B/qtr, FY27 capex \$90-95B now debt/lease-only; GS est hyperscaler bonds \$250B 2026 / \$400B 2027 — approaching 35% band; ~25-35% 2026E vs ~10% 2024: \$175B bonds, >\$200B private credit, >\$120B SPV in 18mo)	2	2
Forensic first-credit-event tripwires 0:none 1:warning proximity >=2 2:1-2 confirmed 3:>=3 confirmed or any AI credit default	[Oct-2] Still 2 confirmed. ORCL 5Y CDS record ~227bp (Sep 25; Oct print NF) -- 23bp from the 250 watch level; ORCL 2046/2056 bonds >8% YTM (~50bp wide of B2 paper) at BBB-; NVDA DSO = 60 (A/R \$63.1B, extended terms to IG customers) AT threshold; DRAM rollover NOT confirmed (TrendForce 4Q26 +10-15%, Samsung +30% notices; only mobile/consumer +0-5%); Micron RAISED FY27 capex >\$40B (no cut anywhere); no AI default/impairment. Jupiter cure/waiver terms still NF. Held 2 (earlier: [Sep-28] 2 CONFIRMED: (1) ORCL CDS >150bp; (2) Project Jupiter — ~\$18B project loans 89-91c AND Oracle force majeure notice to the Blue Owl vehicle (Bloomberg): first hyperscaler-linked project debt in contractual distress. At threshold: NVDA DSO = 60. NEW watch item added to the list: DRAM/HBM contract-price rollover (Acer CEO: China DDR4 oversupply; Micron guide Sep 30) — the capital-cycle tell that precedes GPU-rental declines. Still 2 (needs >=3 confirmed for 3); [Sep-22] Oracle Project Jupiter ~\$18B project loans quoted 89-91c, syndication stalled (first sub-90 hyperscaler-linked project loan); NVDA DSO 60 (=threshold, not >); lenders reportedly declined Oracle as Abilene tenant (single source); ORCL CDS 190-215bp. Still 1 confirmed -> held 2 with proximity at maximum; [Sep-16] still 1 confirmed (ORCL CDS ~200bp regime). NOT on list but regime-relevant: labs' 'pace the frontier' (Sep 12-14), OpenAI IPO deferred to 2027, Moody's Baa2 NEG on ORCL, CRWV -8% — proximity up, held at 2; [Sep-10] 1 CONFIRMED on list: ORCL 5Y CDS >150bp (record ~215bp Aug; BBB-, FY27 FCF -\$42B guided). Adjacent/not listed: NVDA Q3 GM guide -100bp, top-3 customers 44% of rev, CRWV CDS ~855bp. NOT: no capex cut (3 raises/0 cuts), MSFT LENGTHENED DC lives 15->25y, no AI credit default)	3	2

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Retail froth (margin debt + 0DTE) 0:<2.5 1:2.5-3.0 (2000 ~2.8) 2:3.0-3.5 3:>3.5% GDP or 0DTE>55%	[Oct-2] Burry (Sep 28) converted shorts to PUTS: NVDA/QQQ rolled to Jun-27/Feb-27, MU Jun-27 ~\$500 (50% OTM), PLTR/TSLA/SOXX puts, exited ORCL/MSFT longs; Oct 1: markets 'should tank hard' to block the OpenAI/Anthropic IPOs. Sept margin debt due ~Oct 15. Held 3 (earlier: [Sep-28] Burry added 'in some size' to MU/PLTR/NBIS/SOXX shorts on the day NDX made its ATH (Sep 22); MU +17% in 7 sessions into the Sep 30 print; Sept margin debt due ~Oct 15. Held 3; [Sep-22] FINRA Aug margin debt \$1.45T record (+2.6% m/m, +37% y/y); Record \$1.53T margin debt (+51.5% y/y, ~4.0% GDP > 2021 peak ratio); 0DTE 59-65% of SPX volume)	2	3
Net investment / GDP (capital-cycle position) 0:<1.0 1:1.0-1.5 2:1.5-2.0 (2007 and 2014 peak zone) 3:>=2.0% (2000-01 aftermath zone)	[Sep-28 ADDED, prospective] 2.07% as of 2026-06-30 — above every prior peak (2000 ~2.0 at the Nasdaq top, 2007 ~1.6, 2014 ~1.9) except the 2000-01 aftermath; prior peaks coincided with or slightly lagged the equity tops; 2003-06 ran NEGATIVE for 12 quarters as depreciation overwhelmed capex	2	3
6. CONSUMER · 20/39 POINTS			
Card + auto 90+ delinquency transitions Card 0:<5.5 1:5.5-6.5 2:6.5-9.0 3:>=9.0 (GFC 13.7). Auto 0:<2.4 1:2.4-2.7 2:2.7-3.3 3:>=3.3	[Oct-2] LABOR TURNED: payrolls +29K vs ~85K exp, two-month revisions -60K, July -10K (first negative print of the cycle), UR 4.2% (participation-driven), AHE 3.0% y/y = real wages ~-0.4%; Challenger hiring plans weakest Sept in 15 yrs; but claims 197K / continuing 1.701M (lowest since Mar-23) and Aug real PCE +0.6%. Card: COF Aug 30+ 4.54% per 8-K (CONFLICTS with the 3.57% carried Sep 22 -- different metric definitions; reconcile), NCO 4.16%; SYF 30+ 4.3%; AXP 1.0%; industry DQ creeping. No transition re-acceleration -> held 2; the hires/claims flip signal is NOT met (claims falling) (earlier: [Sep-28] claims 197K (lowest since mid-July), continuing 1.719M; industry card DQ 2.50% creeping; AXP 1.1% flat; ICE Aug mortgage DQ 3.53% (below every pre-pandemic Aug); UPST/AFRM -4% Sep 23. No re-acceleration -> held 2; [Sep-22] COF Aug 30+ 3.57% per 8-K (vs 3.73% carried Sep 16 -- reconcile); claims 196K, continuing 1.73M lowest since Jan-24; Redbook decelerating 8.5 -> 7.6%; [Sep-16] NY Fed Q2 card transition 6.97% steady; COF Aug 30+ 3.73% (Jul 3.67%) drifting up; retail sales +1.2%/control +1.4% Aug vs UMich 47.8 & real AHE -0.1% y/y; Card ~7.0% (peak 7.2% mid-24, plateaued - highest since 2011, ~half the GFC's 13.7%); auto ~2.9-3.0% - NY Fed Q1-26: auto delinquency highest ever recorded)	4	2
Utilization / maxed-out / min-pay share 0:minpay<9.5 & maxed<8 1:9.5-10.3 2:>=10.3 (record zone) or maxed>=10% 3:minpay>11 & util>26%	Min-pay ~10.5-10.9% (series record); ~10% of borrowers maxed out (1-in-6 GenZ); avg utilization ~29% (Experian); APR ~22-23%	2	2
Subprime auto 60+ (Fitch ABS index) 0:<4.0 1:4.0-5.0 2:5.0-6.0, or >=6.0 with prime contained 3:>=6.0 AND prime 60+ >0.6% (stress escaping the bottom quartile)	[Oct-2] Car-Mart: FIFTH extension, Oct 1 -> Oct 8 (8-K dated Sep 30: scheduled termination date, minimum-liquidity and collateral-coverage relief); Fitch Aug index still unpublished (July 6.13% / prime 0.49% stand); CACC extended a \$500M warehouse to 2028 at SOFR+175 (tighter) and printed \$600M ABS at 5.0-5.5% = funding OPEN for the top tier. Held 2 (earlier: [Sep-28] Fitch Aug index still not published; Car-Mart lenders extended waivers a 4th time to Oct 1; CACC settlement ~\$710M incl. \$634M balance waivers; prime 0.49% vs 0.6% trigger unchanged. Held 2; [Sep-16] no Aug index yet; 6.13% Jul / prime 0.49% stand; [Sep-10] RE-ACCELERATING: 6.13% Jul (from 5.80% Jun; record 6.90% Jan); Fitch guides 'weaken further in H2'; PRIME 60+ 0.49% vs 0.6% escape trigger (closest yet); America's Car-Mart at going-concern (non-fraud failure candidate #1, covenant runaway to Nov 6))	2	2
Student loan 90+ share 0:<6 1:6-9 2:9-12 3:>=12% or >15% of portfolio garnished	[Oct-2] CONFLICT: secondary sources this week describe wage garnishment of defaulted borrowers as 'underway since Jan 2026 and scaling monthly' (~9M in default, 7.9M delinquent), contradicting the Sep-10 correction (collections paused since Jan 16); neither is primary-sourced. Held 2 pending an ED/Treasury primary statement (earlier: [Sep-10 CORRECTION] involuntary collections PAUSED since Jan 16 2026 (not scaling); ~5.3-5.5M in default = latent drag; 90+ share ~10%)	1	2

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Household debt service ratio 0:<10.5 (2019 ~9.8) 1:10.5-11.5 2:11.5-13 3:>=13% (2007 peak 13.2)	~9.9-10.1% — AT 2019 levels; ~95% of mortgages fixed sub-4%	2	0
Subprime lender defaults / funding stress 0:none 1:1 idiosyncratic, spreads re-tighten 2:2-3 in 12mo or +200bp sustained 3:funding freeze	[Oct-2] Car-Mart did NOT file on Oct 1 either: fifth extension to Oct 8 (weekly waivers from Silver Point are now the pattern); CACC funding at tighter spreads. Held 1; a filing on/after Oct 8 = failure #2 -> 2 (earlier: [Sep-28] Car-Mart did NOT file: waivers extended a 4th time, to Oct 1 (from Sep 25); a filing = failure #2 -> 2. Held 1; [Sep-22] Credit Acceptance \$694M 40-AG settlement (Sep 17); America's Car-Mart \$300M facility deadline extended to Sep 25, bankruptcy 'an option'. A Car-Mart filing would be failure #2 in 12 months -> 2; Tricolor Ch.7 (Sep-25, \$1.4B ABS, fraud, >\$1B bank hit) + First Brands; spreads re-tightened; no verified 2026 failures)	2	1
7. BIG CYCLE · 30/45 POINTS			
Internal disorder index 0:normal 1:polarized 2:Stage-5 markers 3:Stage-6 onset (contested election, organized violence)	[Oct-2] Fed IG cleared Powell on the HQ renovation (Sep 30); Trump same day: Powell 'should be forced to resign' from the Board 'at a minimum'; AP-NORC approval 31/69, aggregates ~37/60; generic D+7; prediction markets: Dem House 92%, Dem Senate ~64%, D sweep 62%; Guard: DC through 2026, Memphis patrols from Oct 10; no new violence. Still Stage-5 markers, not Stage 6 -> held 2 (earlier: [Sep-28] Trump approval 33/63 (new low); generic ballot D+7-10; CR to Dec 11 passed House 370-48 (Oct 1 shutdown risk removed); Austin protests continuing (~160, chemical agents, arrests), no new Guard deployment found; Section 232 100% pharma tariff + Canada import bans effective Sep 29. Held 2; [Sep-22] ICE officer shot a delivery driver in Austin (Sep 20), multi-day protests; three outlets banned from the White House; approval 32-41%; 3,073 Guard in DC to 2029; Russia/Iran sanctions law signed Sep 18; [Sep-16] Fed hike delivered under open WH attack; midterms D+7-9, Dem Senate odds ~59%; no violence in window; Stage 5: political attacks at 30-yr high; two assassinations + one attempt; top-1% wealth 31.7% (record); Nov-26 midterms ahead)	5	2
External conflict index 0:none 1:trade war 2:regional war + commodity disruption OR truce fraying 3:great-power confrontation	[Oct-2] Iranian delegation EXPELLED (Rubio), US counter-proposal via Qatar Sep 30, Trump: 'big decision very soon'; Pentagon ordering a THIRD carrier group + ~10K troops to arrive by end-Nov; SIX tankers struck in a week (VLCC Kazimah III on fire Oct 1), Hormuz ~1 transit/day vs 85 baseline, 147 vessels holding; yet Brent fell to \$99.7 (market reads 'strikes deferred past midterms'). Russia's largest grid strike since last winter (Sep 30). Xi summit: truce to Jan 10, no export-control text, Taiwan \$14B package 'in abeyance'. Still no great-power confrontation -> held 2 (high) (earlier: [Sep-28] Trump REJECTED Iran's 7-day/60-day Hormuz plan (Sep 26) and per WSJ told aides he expects to RESUME BOMBING IRAN AFTER NOV 3; Brent \$97 -> \$105-107 (intraday \$108.8); Xi summit constructive (truce extended ~2 months to early 2027; tariff cuts ~\$30B; Taiwan 'red line'; no chip-export relief); Ukraine drone strikes on Russian refineries; no new NATO-Russia incident. Oil channel re-armed but no great-power confrontation -> held 2 (high); [Sep-22] Two-track: new US strikes on IRGC targets Sep 22 AND a 3-hr US-Iran meeting in NY ('very productive'; Trump: deal 'right after' Nov 3); Hormuz transits still <=15/day; Saudi E-W pipeline restarted at low rate; Brent ~\$97 (-10%); sanctions law with up-to-100% secondary tariffs on top-5 Russian-oil buyers (China, India) SIGNED; CCG-Philippine collision Sep 18; DPRK SRBMs Sep 20. Held 2; [Sep-16] Hormuz transits single digits; US destroyed 5 Iranian tankers (Sep 8-9); Houthis seized 2 Red Sea islands, Saudi East-West pipeline out for weeks; Brent \$108; first NATO drone shoot-down over Lithuania (Sep 15); India-Pak naval collision; secondary-tariff bill (100% on top-5 Russian-oil buyers) advancing. Offsets: Xi state visit Sep 23-25, truce extension expected. HIGH 2; 3 requires great-power confrontation; Iran war since Feb-26, Brent \$86.6 (>\$90 in July); new 12.5% S.301 tariff Jul-23-26; truce expires Nov-10-26)	3	2

INDICATOR AND THRESHOLD RULE	CURRENT READING (MOST RECENT DATED NOTE FIRST)	WEIGHT	SCORE
Reserve erosion & gold signal 0:COFER>60 1:57.5-60 drifting 2:55-57.5 + gold>USTs + CB>700t/y + gold+20%/y 3:<55 falling fast or triple confirmed 3mo	[Oct-2] COFER Q2 (Sep 30): USD share 56.7% (from 57.2%; mostly valuation) -- BELOW the 57.5% downgrade line, so the Sep-16 prospective downgrade does NOT execute even though gold y/y (~+8.5%, spot \$4,217) fails the +20% clause. CB gold Q2 record 289t, PBOC +20t in Aug. DXY 17-month high 102.2 (Oct 1); Dalio triple NOT confirmed (yields up, dollar up, gold down). Held 2 on the COFER clause alone; weakest 2 in the model (earlier: [Sep-28] gold \$4,310 -> ~\$4,150 (-3.8%, 7-week low; ~+12% y/y -- the +20% clause now FAILS); silver -9%; DXY 101.1 (2-month high); Dalio triple 1 of 3 (yields up, dollar UP, gold DOWN) -- the market is doing the OPPOSITE of a reserve exit this week. Downgrade to 1 executes if COFER Q2 (Sep 30) prints >57.5%. Held 2 pending; [Sep-22] gold ~\$4,310 spot / \$4,409 Dec fut (+17% y/y; -23% from ATH) through a Fed hike and DXY ~100.6; BTC \$86K (+14% wk); July TIC -\$50B; COFER Q2 due Sep 30. Held 2, weakening; [Sep-16] gold \$4,263-4,348 (6-wk low, -24% from ATH, ~+17-19% y/y — the +20% clause is now borderline); PBOC +20.2t Aug (largest since Oct-23), CB Q2 record 289t; DXY 99.6 firming; Japan funding intervention via FIMA repo not UST sales. Held 2, WEAKENING; downgrade to 1 if COFER Q2 (Sep 30) >57.5 AND gold y/y <20%; [Sep-10 CORRECTION] gold ATH was \$5,596 (Jan 28 2026); ~\$4,400 now = -20% from record, ~+20% y/y. Score rests on LEVEL clauses that survive: COFER 57.13% (in 55-57.5 band, though UP q/q), gold > USTs in CB reserves, gold ~+20% y/y; CB buying slower YTD. Dalio triple 2 of 3 (yields up, DXY 98.8 down; gold NOT up since Jun 1). Low end of 2)	4	2
China / global contagion index 0:FAI>+4, JGB30<2, PMI>52 1:FAI 0-4 or JGB 2-3 2:FAI contracting + JGB30>3 + PMI<=50.5 3:China credit event / CNY>7.5 / carry unwind 2.0 / JP repatriation>\$200B/y	[Oct-2] France: EUR43B austerity budget (Oct 1), 2027 deficit target 5.0%, debt 121.7%, OAT-Bund 130bp (+13bp on the day; WIDER THAN ITALY AND GREECE); UK 30Y gilt ~6.0% (highest since 1998), 10Y 5.34%; Bund 3.46-3.51%; JGB 10Y ~3.0%, yen 157.7 after a record JPY15T intervention; China official PMI 50.1 (first >50 in 3 months), LPR held 16th month, land sales -30%; Korea Sept exports RECORD +83.5% (chips +263%); India rupee record lows, FPI outflows. Held 2 (earlier: [Sep-28] GLOBAL LONG END BROKE OUT Sep 24: JGB 10Y 3.055% (since 1996), 30Y 4.134%; Bund 10Y 3.64% (since 2009); UK 10Y 5.36%; Norges hiked to 4.50%; EZ PMI 53.1 (3-yr high) feeds ECB hikes; France budget slips to Oct 1 (2026 deficit 5.4%), OAT-Bund ~105bp; China EPMI 52.3, PBOC fixing weaker than est. into Golden Week; Korea chips +259%. JGB30 >3 and PMI clauses unchanged -> held 2; [Sep-22] LPR held 16th month ('no need to cut'); banks told to keep Vanke loans off NPL books; property investment -19.9% YTD; CNY 6.70 (strongest since Jan-23); OAT-Bund 105bp (first >100 since 2012; Scope cut France to A+); UK 30Y ~5.75%; JGB 30Y 4.07%; MOF cutting super-long issuance for lack of insurer demand. Held 2; [Sep-16] China Jan-Aug FAI -7.2% y/y (CNBC; deepening), retail +0.4%, Aug new loans RMB 60bn vs 400bn exp, M2 17-mo low, home prices -39th month; JGB 30Y 4.15% (near record), 30Y auction cover 2.92 worst since 2023; CNY 6.71 STRONG (opposite of the 7.5 trigger); Korea chips +270% y/y. Held 2; China FAI -5.7% y/y H1-26 (property -14%, PPI negative ~39mo); 30Y JGB ~3.5% record, yen ~164; global PMI ~49.7-50.8)	3	2

Gates: monetization = not met (Fed hiked, real policy rate positive, bills-only reserve management). Crisis = not met (no failed 10–30-year auction, Dalio triple not confirmed, no buyers' strike). Playbook for this regime: Defense with carry: underweight long nominals (bills/TIPS instead); gold 10-15%; equal-weight/value/ex-US tilt; avoid the AI-circularity credit chain and tightest-decile HY; own convex hedges; 6-12mo liquidity — drawdowns arrive as air pockets.

Twenty-two sweeps, pillar by pillar

Payrolls week, September 28 – October 2

- **Rates and the Fed.** The 30-year closed above 5.50% on all five sessions (5.56, 5.585, 5.632, 5.613, about 5.63), with September 30 the highest since 2002; the 10-year touched 5.342% intraday on September 30, the highest since April 2002, and closed the week near 5.28% after rallying 6bp on the payroll and reversing within hours. The 2-year fell from 4.92% to 4.84% as the October hike was priced out, so the curve bear-steepened to about 44bp. The October 1 buyback accepted its full \$6B against \$46.4B offered, 7.7 times the cap, concentrated in two 2041 to 2042 issues at 67 to 76 cents; the cap stays at \$6B through November 4. The 7-year auction cleared at 5.085%, about 3bp above when-issued, with cover of 2.42. Bills covered 2.7 to 2.8 times and SOFR held 3.90% through a \$202B quarter-end settlement: the short end is fine. Williams and Jefferson signalled no October move but one more hike "later this year"; after the payroll, October odds fell to about 17%. Trump said Powell "should be forced to resign" from the Board after the Fed's inspector general cleared him on the renovation.
- **The data.** September payrolls +29K against about 85K expected, July revised to -10K and August to +133K, unemployment 4.2% on higher participation, average hourly earnings +3.0% year over year, the slowest since 2021 and negative in real terms. Initial claims 197K, continuing 1.70M, a three-year low. August PCE +3.4% headline, core 3.0% with July revised from 3.3% by a deflator methodology change; personal saving 4.1% on a series the annual revision lifted by about 1.6 points. Q2 GDP revised to 2.2% from 1.5%, and 2024 and 2025 growth up 0.2 points each on AI investment. Conference Board confidence 81.9, the lowest since 2014, expectations 63.6, 12-month inflation expectations 6.1%. ISM manufacturing 54.5 with prices paid 77.9, the highest since the Iran war began. The 30-year mortgage rate jumped to 7.28%, the highest since November 2023. Challenger hiring plans were the weakest September in 15 years. The continuing resolution to December 11 was signed; the Treasury's cash balance ended September near \$984B.
- **AI capex and credit.** Micron reported \$54.2B of revenue, guided to \$61.5B, and raised FY27 capex above \$40B; TrendForce and Samsung notices show fourth-quarter DRAM contract prices still rising 10 to 30%, so the rollover tripwire did not fire; the stock fell 3% on the news. Oracle's CDS set a record near 227bp on September 25, its 2046 and 2056 bonds yield above 8%, the Jupiter loans remain at 89 to 91 and no waiver or cure terms surfaced; Oracle AI World is October 25 to 28. SoftBank funded OpenAI's final \$10B on October 1 with its \$11.1B junk bond; SoftBank's CDS is above 400bp. Broadcom is seeking more than \$60B of debt for Anthropic chips with a partial guarantee, and Anthropic is reportedly targeting a mid-November IPO at up to \$2T. The October 1 redemption windows: Blue Owl's tech fund 39% requested, its core fund 16.8%, BCRED about 10%, Apollo 14.7%, HPS about 11.5%, all capped at 5% again with requests easing. Fitch's private-credit default rate stands at a record 6.3%. The FRED high-yield spread widened to 312bp with CCC at 1,179bp. Nvidia's receivables days sit at 60, exactly at the tripwire. Burry converted his shorts into 2027 puts and said the market "should tank hard" to block the OpenAI and Anthropic IPOs.
- **Markets.** S&P 7,726 on October 2, 0.9% below its record; NDX a new record close at 30,808 and Nvidia a record \$234; the Dow lost 4.3% in September. Breadth is the worst seen at a near-record index in decades: NYSE new lows have exceeded new highs for 23 straight sessions, 43 to 49% of the S&P sits above its 200-day average, 75% of members fell in September, equal-weight lost 1.9% in the quarter against +2.0% for the cap-weighted index. VIX 15.5, MOVE 108. A \$30 to 33B quarter-end pension sale executed in the last minutes of September 30; Goldman's CTA model is now asymmetric to the upside; the buyback blackout peaks and lifts around October 13. Brent fell to \$99.7 despite the escalation; the dollar index hit a 17-month high at 102.2; gold fell to \$4,217; COFER put the dollar's reserve share at 56.7%.
- **Geopolitics.** Iran's delegation was expelled after Trump rejected its plan, a US counter-proposal went through Qatar, Trump promised a decision "very soon," the Pentagon ordered a third carrier group and about 10,000 troops for end-November, six tankers were struck in a week and Hormuz runs about one transit a day. Russia carried out its largest strike on Ukraine's grid since last winter. The Xi summit's truce runs to January 10 without published export-control text; the \$14B Taiwan arms package is "in abeyance." France's €43 to 54B austerity budget pushed OAT–Bund to its widest

since 2012 (94.7bp or 130bp depending on the source) and sent haven flows into Treasuries on October 1; the UK 30-year touched 6.00%.

- **Fact-check of a viral post ("Goldman: US bonds have no buyers").** Goldman's trading desk did describe long bonds as "completely unwanted" and "bidless" this week; that is desk commentary, not research, and "no buyers" is contradicted by the 7-year's cover and the \$46.4B of buyback offers: partly true. Bessent's quotes are real but spliced from three dates: "I am the house" (September 8, about the yen), "illiquid period" (September 10 and 15), and buybacks raised from \$2B to \$4B to \$6B, not raised again; a discrete Treasury-cash draw was floated by sources and never confirmed: partly true. The 10-year toward 5.3% and the 30-year higher: true. Japan selling Treasuries: true in direction, with the nuance that August's intervention dollars came through the Fed's FIMA repo rather than sales. The "Yuto Kanzaki" apology and "Bessent took over BoJ operations": false, no such official exists and the only source is the post. A "bidless" short end: false, bills covered 2.7 to 2.8 times and money-fund assets are a record \$7.98T.

The week the long end broke out, September 22–28

- **Rates and the Fed.** The whole curve from the 2-year out rose 16 to 28bp in four sessions. The \$70B 5-year auction on September 23 stopped at 5.033% with a 3.1bp tail and cover of 2.21, the first 5-year above 5% since 2007. On September 24 the 10-year reached its highest since June 2007 and the 30-year its highest since June 2004 (5.501% intraday); the 2-year hit 4.897%, the highest since 2023, which prices a second hike. The 10-year closed the week at 5.17% and traded 5.23% on September 28, with the 30-year at 5.56%. Treasury's 20–30-year buyback on September 24 accepted \$4.08B of a \$6B cap despite \$10.47B offered. The MOVE index went from about 80 to 104.6 in two sessions, the biggest weekly rise since April 2025 (a second source has 96 on September 25). Governor Barr said the Committee had been "out of position" and that further adjustments are "likely to be needed"; Musalem favored front-loaded tightening; October hike odds rose from 55% to 72%. The 2s10s curve flattened to about 31bp, the flattest of the year, then bear-steepened to 36bp.
- **The global long end.** On the same day, the 10-year JGB printed 3.055% (highest since 1996) and the 30-year 4.134%; the 10-year Bund 3.64% (highest since 2009); the 10-year gilt 5.36%. Norway hiked to 4.50%; the Riksbank and SNB held with higher inflation forecasts; the eurozone composite PMI rose to 53.1, a three-year high, feeding ECB hike bets that Lagarde tried to cap on September 28. France's budget slipped to October 1 with the 2026 deficit revised to 5.4%, OAT–Bund holding near 105bp. Trump reportedly raised the weak yen with Prime Minister Takaichi; there was no intervention.
- **Geopolitics.** The Xi summit on September 24–25 was constructive: the trade truce was extended about two months into early 2027 (the November 10 cliff moves to January), with tariff cuts on about \$30B of goods, soybean and coal purchase pledges, and rare-earth easing language that China's own readout omitted; Taiwan was called a "red line," and there was no chip-export relief for Nvidia. On September 26 Trump rejected Iran's seven-day Hormuz plan on camera and the Wall Street Journal reported he told aides he expects to resume bombing Iran after November 3. Brent went from under \$98 on September 25 to \$105–107 on September 28 (intraday \$108.8). Ukraine struck two Russian refineries. Section 232 pharmaceutical tariffs of 100% and Canadian import bans took effect September 29. Trump's approval fell to 33%, a new low; the generic ballot sits at D+7 to D+10; the continuing resolution to December 11 passed the House 370 to 48.
- **AI capex and credit.** Oracle invoked force majeure on Project Jupiter on September 24 (a six-month gas-pipeline slip lets it seek a three-year rent deferral on the \$165B campus whose \$18B of project loans were already quoted at 89 to 91); its credit default swaps hit a record; the stock fell 3.5% that day and 8.5% on the week; the Wall Street Journal reported "cracks" at the New Mexico site. Blue Owl said its commitments were unchanged. A CoreWeave-tenant data-center bond printed at 9.25%, 270bp wide of comparables, against Meta-tenant paper at 8.25% five days earlier. SoftBank priced the largest junk bond ever, \$11.1B at sub-10% coupons, to wire \$10B to OpenAI on October 1. Oracle's 10-Q shows \$11.4B of customer prepayments with a "significant financing component." High yield widened 12 to 14bp to 280bp, the first widening since the hike, with CCC spreads at 1,112bp. Burry published his capital-cycle work on the big five (net investment 2.07% of GDP, \$176B of under-depreciation, write-offs in 2028–29, about \$3T of off-balance-sheet commitments) and on September 28 said he is "moving timelines up"; Acer's CEO said Chinese memory supply

means "absolutely no shortage." Micron reports September 30 with consensus above its own guide and the stock up 17% in seven sessions.

- **Consumer.** Initial claims 197K, the lowest since mid-July; continuing claims 1.72M. The Freddie Mac mortgage rate crossed 7% (7.03%), the first 7-handle since January 2025; August new-home sales rose 6.4% because builders cut prices 8.8% year over year; KB Home orders fell 12% with 18% cancellations. UMich final 48.1 with one-year inflation expectations at 4.6%. Gasoline rose to \$4.49, a record for late September, even as crude had fallen the prior week. Spending stayed nominally fine and K-shaped: Costco +11%, Darden missed, AutoZone's do-it-yourself sales fell on gas costs, Redbook decelerated to 7.6%. America's Car-Mart did not file; lenders extended waivers a fourth time to October 1. Mortgage delinquency is stable at 3.53%. The big date is September 30: August PCE, the saving rate, the third estimate of Q2 GDP and the annual revision all at once.
- **Markets.** The September 21–22 record run reversed: S&P 7,776 to about 7,706 on September 23 (the week's largest down day, on the 5-year auction and oil), 7,704 on September 24, 7,743 on September 25 (Dow +0.9% on "stabilizing yields" and the summit), lower again on September 28 with the Nasdaq leading down on Iran and yields. The Nasdaq-100 made an all-time high on September 22 and has not extended it. VIX 14.87, up on a week the S&P rose 1.2%; VVIX 90.6. Stocks fell on every session that yields rose: bonds are not hedging equities. Quarter-end pension rebalancing points to equity selling. Gold fell 3.8% to about \$4,150, silver 9%, the dollar index rose to 101.1, a two-month high. Burry added "in some size" to his Micron, Palantir, Nebius and semiconductor-ETF shorts on the day the Nasdaq-100 made its high.

The week after the hike, September 16–22

- **Rates and the Fed.** 2-year 4.77%, 10-year 4.96%, 30-year 5.29% (high close 5.33% on September 18); 2s10s about 20bp, from 33bp on September 11. The 2-year auction cleared at 4.79%, the highest since 2024, with indirect takedown down to 58% and dealers at their highest share since March. October hike odds about 55%, December about 90%; Schmid, Collins, Goolsbee, Musalem and Barkin all kept further hikes on the table. Trump: rates "should be 1% or less," the board is "very hostile, very political," and he told Warsh to "vote with the board." No removal action. The first \$6B buyback filled only \$5.19B; Treasury deferred sizing to the November 4 refunding.
- **BOJ and Treasuries abroad.** BOJ hiked to 1.25% by 7 to 2 with dovish guidance; the yen fell to 158, a rate check was reported, and Japan was closed September 21 to 23. July TIC: foreign holdings fell \$50.4B to \$9.25T, Japan sold for a third month, and private foreigners were net sellers of long-term US securities while officials bought \$44.4B. Japan's finance ministry is cutting super-long issuance for lack of insurer demand. BoE held and stopped selling long gilts.
- **Geopolitics.** Two tracks at once: new US strikes on IRGC targets on September 22 and a three-hour US-Iran meeting in New York the same day, with Trump saying a deal comes "right after" the midterms. A conditional seven-day Hormuz reopening offer was floated and denied. Saudi Arabia restarted the East-West pipeline at a low rate and pushed about 2.9 mb/d through Hormuz; transits are still at most 15 ships a day. Brent fell from \$108 to \$97. Trump signed the sanctions law with up-to-100% secondary tariffs on the top five buyers of Russian oil, naming China and India. Xi arrives September 23 with an AI dialogue, a trade committee and a \$30B tariff-cut framework agreed, no business delegation, and a demand to halt Taiwan arms sales. A Chinese coast-guard ship collided with a Philippine vessel. France's OAT-Bund spread broke 100bp with a Scope downgrade; the CDU fell below 5% in a state election.
- **AI capex and credit.** Oracle's Project Jupiter project loans (about \$18B) quoted at 89 to 91 cents with syndication stalled; OpenAI's leaked deck: \$856B of compute against \$840B of cumulative revenue through 2030, free cash flow of negative \$278B, cash exhausted by 2028, while seeking a round above \$1.2T; SoftBank marketing about \$11B of junk near 10% to fund its OpenAI stake; Fitch private-credit default rate a record 6.3%; every tracked perpetual BDC capped at 5%; Blue Owl marked one loan to 5 cents; Meta-linked data-center bonds pricing wider each deal. Against that: Korea's chip exports +259%, Taiwan's export orders +71%, GPU financing clearing at 6 to 9% for scaled operators, Nvidia at \$227 (3.5% from its high), Micron through \$1,000. Microsoft's capex "cut" from \$190B to \$175B is a depreciation-life reclassification. Burry added shorts in Micron, Nebius, the semiconductor ETF and Palantir.
- **Consumer.** Initial claims 196K and continuing claims the lowest since January 2024; mortgage rate 6.95%, above 7% on daily quotes; Lennar's orders down 9% with half of visitors unable to qualify; Redbook decelerating; Credit

Acceptance's \$694M settlement; America's Car-Mart's \$300M facility deadline extended to September 25 with bankruptcy an option; CBO raised the FY26 deficit to \$2.1T on a \$250B tariff shortfall. GDPNow 5.1%; Philly Fed prices paid 48.6.

- **Markets.** S&P 7,776 (0.3% from its record), Nasdaq at a record, VIX 14.25, a \$7T triple witching passed quietly. Breadth narrow: NYSE Composite flat on the week, Russell 2000 down 4% on the month, financials down 1.9% on the day. Goldman models CTAs as sellers in every one-week scenario; August margin debt a record \$1.45T; buyback blackout in force. Gold about \$4,310 to \$4,409 (+17% year over year), bitcoin \$86K, copper \$6.92, dollar index about 100.6.

The FOMC week, September 10–16

Fed, Treasury, and rates

- FOMC hiked 25bp to 3.75–4.00%, 12–0 including Governor Cook, first hike since July 2023, citing energy-driven inflation. Median dot: one more hike in 2026; 16 of 18 see at least one more; none in 2027; cuts in 2028 and 2029. Unemployment projection 4.1%, GDP 2.3%.
- 10-year 5.008% post-decision, intraday above 5.04%, highest since 2007; 2-year 4.717% (+5bp). The long end rose on the hike. The "1994 counter-read" (credible hike compresses term premium) failed on the day it was tested.
- 30-year last verified 5.25% on September 15; roughly 5.35–5.40 implied by the 10-year and the 30–37bp 10s30s spread; a 5.37% headline was not verifiable. The September 10 Treasury buyback accepted \$5.19B of a \$6B maximum and the selloff intensified. Buybacks run at \$4–6B per operation through the November 4 refunding.
- August CPI 3.4% headline, core +0.3% m/m; PPI 5.4% y/y; import prices +7.0% y/y, the largest since August 2022; UMich one-year expectations 4.6%, five-to-ten-year 3.4% (one tick from the 3.5% trigger).
- ECB hiked 25bp on September 10 (deposit rate 2.50%). BOJ hike about 80% priced for September 18; 30-year JGB 4.15%, the September 3 30-year auction cover of 2.92 was the worst since 2023. Japan's finance ministry has said it will fund yen intervention via the Fed's FIMA repo facility rather than sell Treasuries.
- White House pressure escalated ("clowns"; "I won't allow that to happen"; trade-halt threats against surplus countries). The Fed hiked anyway. No Section 899 legislative text surfaced.

Geopolitics and global tensions

- **Iran / Gulf (tension 3, rising).** No ceasefire. US destroyed five Iranian crude tankers (September 8–9) in retaliation for attacks on a US warship; a products tanker was struck near Hengam Island on September 13; Hormuz transits in single digits per day; war-risk premiums 7.5–10% of hull value. The GCC–Iran ministerial on Hormuz was postponed after a Saudi–Oman split. Iran's foreign minister traveled to Beijing on September 16. Rial at a record 2.2 million per dollar; inflation 82% y/y. Brent \$108, WTI ~\$100–102; Goldman sees \$120+ in 2027 if Gulf output stays 4 mb/d below pre-war.
- **Red Sea / Houthi–Saudi (3, rising).** Houthis seized two more southern Red Sea islands on September 14; Saudi Arabia's East-West pipeline, the workaround for a closed Hormuz, is mostly out of service for weeks after drone strikes; sustained missile and drone attacks on Khamis Mushait and Yanbu; Saudi Arabia is appealing to Western allies.
- **Russia–Ukraine (2).** Witkoff and Kushner met Putin for three hours with no breakthrough; a claimed energy truce was contradicted by Ukraine's strike on the Syzran refinery on September 15. A sanctions bill with 100% secondary tariffs on the top five buyers of Russian oil (China and India exposed) cleared a House procedural vote 214–211.
- **NATO–Russia (2, rising).** First-ever drone shoot-down over Lithuania by NATO air policing on September 15; a Russian frigate fired flares at a Danish helicopter; Poland scrambled jets.
- **China–US (1, stabilizing).** Xi state visit to Washington September 23–25; the likely deliverable is a one-year extension of the Busan truce (expires November 10) plus modest tariff cuts and rare-earth licensing. Some Chinese rare-earth suppliers have suspended shipments to US customers since August. Taiwan Strait activity is routine patrols; no named exercise.

- **Other.** Indian and Pakistani warships collided in the Arabian Sea on September 15 with reciprocal protests. North Korea staged a missile and drone drill. Iranian state-linked actors probed over 100 US water utilities over the summer. US domestic: continuing resolution to December 11 passed 370–48; generic ballot D+7 to D+9; Democratic Senate odds about 59%.
- **Europe.** OAT–Bund spread ~85bp with France's 2027 budget due September 30; UK 30-year gilt near 5.9% with a budget on October 28; German 30-year 3.79%, a 13-year high.

AI capex and the credit chain

- Oracle Q1 FY27 (September 10): revenue \$19.3B (+30%), OCI +121%, RPO \$664B, but capex \$28.5B in the quarter, free cash flow –\$5.4B, total debt ~\$125B, the \$20B equity program fully used, FY27 capex reaffirmed at \$90–95B gross. The next \$70B is debt or leases. Stock –4.7% to ~\$140, –22% YTD; CDS in a ~200bp regime; Moody's outlook negative.
- September 12–14: OpenAI, Anthropic and Google publicly discussed "pacing the frontier"; OpenAI said no IPO in 2026. The market priced it as capex-cycle risk: NVDA –3.4%, AVGO and AMD –4%, CoreWeave –8% pre-market. TSMC's August revenue was a record +53% y/y; Korea's chip exports ran +270% y/y in early September. Demand data are strong; the financing is the fragile leg.
- Private credit: BCRED capped redemptions at 5% for a second consecutive quarter (about 10% requested). Blue Owl, HLEND, Apollo ADS and Ares ASIF Q3 windows are due around October 1. High-yield spreads 265bp, still in the complacency band; no fallen angels or defaults surfaced.
- Circularity scorecard (confirmed): Nvidia's \$105B residual-value guarantee on OpenAI's Ohio site plus \$1.5B equity; Nvidia's stake in xAI's GPU SPV; Meta–Blue Owl's \$27.3B off-balance-sheet vehicle; Oracle's OpenAI-dominated backlog funded by Oracle debt; Crusoe's \$3B raise underwritten by a \$13B Jane Street contract; \$194B of hyperscaler bonds year to date with Goldman projecting \$250B in 2026 and \$400B in 2027.
- Sentiment: BofA's fund-manager survey shows cash rising to 3.9%, semis the most crowded long, AI capex the number-one systemic credit fear, and AI-bubble fear at a survey high. CTAs are 100% max long with about \$74B of selling triggered on a down tape; roughly half the index is in buyback blackout. Burry sold his December 2026 NVDA and PLTR puts (time decay) and kept 2027 PLTR and QQQ puts and his shorts.

Consumer, labor, and housing

- August retail sales +1.2% (control group +1.4%, the largest in nearly two years), nominal and gasoline-flattered; BofA card spending +4.5% y/y. UMich sentiment 47.8 (second straight decline); Conference Board expectations below the recession line since February 2025.
- Payrolls +162K in August with net upward revisions; unemployment 4.1%; initial claims 206K; hires rate 3.2% (at the trigger); saving rate 3.0% (at the trigger); real hourly earnings –0.1% y/y; gasoline \$4.33 and rising.
- Credit: NY Fed card transition rate 6.97% steady; Capital One's August 30-day delinquency 3.73% (from 3.67%) with charge-offs easing; Fitch subprime auto 60-day 6.13% in July (from 5.67%), prime 0.49% against a 0.6% trigger; no new lender failure; student-loan collections still paused.
- Housing: 30-year mortgage 6.76%; existing-home months of supply 4.9, the highest in over a decade; NAHB 32 with 38% of builders cutting prices; CMBS special servicing 11.42%, the highest since 2013.
- Fiscal: FY26 deficit \$2.0T through eleven months; net interest above \$1T; the \$2,000 tariff dividend remains unfunded; no shutdown risk at September 30.

China and the global cycle

- August activity (September 15): industrial production +5.2% on exports; retail sales +0.4%, the weakest of the year; fixed-asset investment –7.2% year to date per CNBC (one aggregator quoted a positive figure; the contraction reading is used); property prices down a 39th straight month. August new loans ¥60B against ¥400B expected; M2 growth at a

17-month low. No stimulus announced. Exports +25% with a record \$805B cumulative surplus. Yuan 6.71, the strongest in years.

- Reserves and gold: PBOC bought 20.2 tonnes in August, its largest monthly addition since 2023 and 22nd straight month; central banks bought a record 289 tonnes in Q2. Gold nonetheless fell to a six-week low near \$4,263–4,348, about 24% below the January record and roughly +17–19% y/y, so the "+20% y/y" clause of the reserve-erosion indicator is now borderline. Dollar index 99.6, firming. Bitcoin ~\$76K.

5 · THE GAME-THEORY LAYER

Who moves, why, and where it converges

This section is analysis, not a data series. Each game is a repeated interaction whose equilibrium explains a piece of the projection. The purpose is to show that the near-term stability everyone is counting on is a product of incentives rather than fundamentals, and that each round played shrinks the policy space available for the next one.

GAME	PLAYERS AND PAYOFFS	DOMINANT MOVES	EQUILIBRIUM	THIS WEEK'S MOVE
Reverse-Accord chicken Fed vs Treasury	The Fed wants credibility on 3%+ inflation without becoming the fiscal agent. Treasury wants long yields contained through November 3 without formal yield control. Each side's move raises the other's cost: hikes lift the interest bill; bill-funded buybacks drain reserves.	Neither swerves before the election. The first formal move is the November 4 refunding: cut long-coupon sizes (Treasury swerves; yield control by issuance) or hold "regular and predictable" (the treadmill).	No formal cap until a dislocation legitimizes it. The 1951 Accord followed the 1950 inflation shock; the 2022 gilt rescue followed a four-day crash. Repression needs a crisis to become politically possible, so the crash is the mechanism, not the alternative.	Fed hiked 12–0; long end sold off; buyback undersubscribed. The Fed did not swerve; the market now tests Treasury.
Foreign holders' exit Japan, China, Gulf, Europe	Everyone wants slightly less exposure; nobody wants to be the seller who marks down their own book. A bank-run structure.	Slow rotation into gold, shorter duration, keep bills. Fund interventions through Fed facilities rather than sales (Japan). Hold, do not add (China).	Gradual erosion, not a dump, unless Section 899 or secondary tariffs change the payoff to holding. The structural loss is Japanese duration demand: a 4.15% 30-year JGB makes home bonds competitive.	PBOC +20t; Q2 central-bank buying a record 289t; June TIC top-three holders added; Japan chose FIMA repo over sales.
AI capex prisoner's dilemma Hyperscalers, labs, Nvidia, Oracle, neoclouds, private credit	If all build: overcapacity later, stock rewarded now. If one cuts alone: loses the race, stock crushed. Vendor guarantees move the financing constraint onto the vendor.	Build. The overbuild ends when the financing channel closes, not when demand disappoints. Demand disappointment is the second leg (railroads 1873, Lucent 2000).	The first credit event surfaces in vendor and neocloud paper (Oracle CDS ~200bp, CoreWeave bonds ~13%), then in the private-credit funds that hold it. Watch October 1 gates and Oracle's next debt raise, not Nvidia's guidance.	Labs signaled "pace the frontier"; OpenAI IPO deferred; Oracle equity leg exhausted; BCRED gated twice. Cooperation talk means the payoff to defection fell.
Oil-as-weapon attrition US/Israel vs Iran; Houthis vs Saudi	Iran's best play: keep oil high with no decisive escalation, raising US inflation and constraining the Fed into the midterms. The US: contain, blockade, "war ends after the election."	Sustained low-intensity tanker war; Iran seeks China's shield. Houthis widen to Saudi export routes.	Brent \$100–115 through November, then de-escalation offers. Tail: Hormuz fully closed plus Yanbu compromised, both Saudi export routes down, the one path to \$150.	Five tankers destroyed; Hormuz single digits; Houthis seized islands; Saudi pipeline out; GCC–Iran talks postponed.
China's patience Xi vs Washington; Xi vs his own economy	Xi wants chip self-sufficiency, export relief for a deflating domestic economy, and Treasuries kept as leverage. Trump wants prices down into the midterms. Both need a truce that lasts.	Extend the Busan truce at the September 23–25 visit; trade small tariff cuts for rare-earth licenses; PLA patrols continue as background pressure.	A managed rivalry that holds while both need it, roughly through Q1 2027. China exports its deflation, which is disinflationary for goods and a job-loss story for everyone else. Tail: Taiwan.	FAI –7.2%, loans ¥60B, retail +0.4%: the domestic squeeze raises Xi's payoff to a truce. Yuan at its strongest in years.

GAME	PLAYERS AND PAYOFFS	DOMINANT MOVES	EQUILIBRIUM	THIS WEEK'S MOVE
Election calendar White House, Congress, the Fed	Pre-election, incumbents' dominant move is stability. Post-election, the payoff to growth-at-any-cost rises and the cost of inflation-fighting falls.	Hold everything together to November 3. Then pressure the Fed to cut into 3%+ core (the Burns test) through H1 2027, with a likely Democratic House removing any fiscal offset.	Deficits stay near \$2T; the Fed becomes the only adjustment valve; the second hike (October 27–28) is the last the calendar permits. The accident is likelier when the calendar stops helping.	"Clowns"; "I won't allow that." The Fed hiked anyway. Democratic Senate odds ~59%. CR passed 370–48.

Meta-equilibrium: where the world is going. Every player's dominant strategy is to keep the game going through November 3, which is why Muddle is still the single largest scenario. But each "keep it going" move (a buyback, a vendor guarantee, a redemption gate, a FIMA repo, a truce extension) spends policy space the next round no longer has. The system is converging on a repression regime (negative real rates, issuance control, captive buyers, a weaker dollar, gold as the reserve asset of choice) because it is the only equilibrium that clears a \$2T deficit at a 5% marginal cost of borrowing. That regime needs a crisis to legitimize it, and the market has refused to accept caps voluntarily three times (August 19, September 9, September 16). The modal path is therefore crash then repression, not repression instead of a crash. Geopolitically the structure is a managed US–China rivalry with hot proxy theaters (Gulf, Red Sea, Ukraine, Baltic) that keep an energy risk premium in the system: an inflation floor near 3% that the Fed cannot hike away and that the bond market keeps repricing. The five-year endpoint is a dollar that buys less, nominal assets that survive, real assets that win, and long nominal bonds that lose in real terms.

6 · THE 2028 ELECTION OBJECTION

Would the presidential election keep the game going? Partly, and it changes the shape more than the odds

Where the objection is right. The incentive that holds everything together through November 3, 2026 does not switch off on November 4. The White House wants a strong market and cheap gasoline in November 2028 too, so the pressure to keep buying duration, pausing tariffs, and leaning on the Fed continues for two more years. The clearest precedent is 1972: Nixon needed re-election, Burns eased into it, the market made a new high in January 1973, and the bill arrived in 1973 and 1974.

Why it does not cancel the accident.

- **The tools shrink with each use.** The midterm put works because the tools are fresh and the window is six weeks. Holding a bond market for two years with buybacks that are already undersubscribed, a Fed that is hiking, and \$2T deficits is a different problem. Each rescue the market shrugs off teaches it how small the put is.
- **The election put only works on players who answer to the calendar.** Treasury, the White House, and to a degree the Fed do. The bond market, private-credit redemption queues, Oracle's refinancing schedule, foreign reserve managers, and Iran do not. The 2026 tantrums were contained because the calendar-driven players still had ammunition; the 2027 cracks come from the players who do not care about the calendar.
- **Elections change the policy response, not the arrival of shocks.** 2008 crashed six weeks before an election; the 2000 top came eight months before one; 2020 crashed in an election year. What the calendar does is make the response more aggressive, which is why the 2028 election is already inside the map: Second Wave has wave two peaking into the election, Fracture has a contested 2028, and Repression has the Fed cutting hard in 2028.

What it changes. The 2028 incentive makes premature easing more likely, not less. A term-limited president with nothing to lose and a party that needs 2028 will push for cuts into 3%-plus core inflation through 2027. That is the Burns test, the entry condition for the worst scenario rather than the best one. So the election argument moves timing mass, not safety mass: roughly five points of crash probability move from 2027 into 2028–29 (the center of mass widens to 2027–29); the odds rise that the top comes late and high on a cut-driven melt-up (the 1972–73 shape) rather than early and low; Second Wave's weight and its inflation leg rise. Muddle does not gain much, because Muddle requires the long end to cooperate for two years and it has now refused three times.

Net. The 2028 election is a reason the crash could arrive later and bigger, not a reason it does not arrive. The calendar buys time, the time gets spent on more inflation and more leverage, and the reckoning lands with a larger bill either just before or just after November 2028.

7 · SCENARIO PROBABILITIES AND THE SIX PATHS

How the weights have moved, and what each path looks like to 2031

UPDATE	MUDDLE	REPRESSION	AI BUST	SECOND WAVE	ESCAPE	FRACTURE	DRIVER OF THE CHANGE
July 28 baseline (post-adversarial)	35	18	16	9	19	3	Anti-doom review moved ~10 points to benign states; 1970s transmission machinery mostly gone.
August 19	33	21	15	10	18	3	Private-credit gates crossed; first Treasury buyback escalation; Fed turned hike-biased.
September 10	31	20	16	13	16	4	Second rescue shrugged off; inflation leg (PPI 5.4%, Brent >\$100, ECB hiking); Nvidia guarantee signed.
September 16	28	19	17	17	14	5	Long end sold off on the hike; three G3 hikes in nine days; import prices +7%; labs' slowdown signal; NATO shoot-down.
September 22	29	19	18	16	14	4	Oil -10% on US-Iran talks; equities back to highs; Jupiter loans below 90, OpenAI cash-out-by-2028, SoftBank junk; TIC private selling; France spread break offset by Xi summit.
September 28	26	19	19	19	12	5	Third rescue failed to hold (30Y 5.56%); global long end broke out; 5Y auction tail; MOVE 105; Oct hike 72%; Oracle force majeure; Iran plan rejected, oil \$105; capital-cycle indicator added at 3.
October 2	26	20	18	19	12	5	Payrolls +29K, July negative, real wages negative; October hike priced out; 30Y five closes above 5.50%; fourth rescue failed; no AI tripwire; Micron capex raise; NDX record with the worst breadth in decades.

October 2 reasoning: Repression +1 because the Fed stopped hiking on a +29K payroll with headline inflation at 3.4% and consumer expectations at 6.1%, so the Burns move is one meeting closer, and a long end that bear-steepens on weak data is how the market prices it. AI Bust -1 because no tripwire crossed, DRAM pricing is firm and the NDX made a record; Micron's capex raise is the supply response the capital-cycle indicator predicts for 2027 to 2028. September 28 reasoning: Second Wave +3 because the intervention-fails clause fired, the Japanese, German and British long ends broke out on the same day, oil reversed up and the Fed is 72% priced to hike into a curve at its flattest of the year with bond volatility at a six-month high; this is the accident scenario's setup, not yet the accident. Muddle -3 because the election put still works on the tape but the long end no longer cooperates at any oil price. AI Bust +1 because force majeure is the first contractual distress event in the chain and the capital-cycle indicator enters at 3. Escape -2 on the 10-year at 5.2%, oil at \$105, negative real wages and the September 29 tariff escalation. Fracture +1 on the rejected Iran plan and the reported post-election bombing intent and France's budget slip, netted against a genuinely constructive Xi summit. September 22 reasoning: Muddle +1 because the election put is working (oil, labor, equities); AI Bust +1 because the financing channel cracked in three places while demand stayed record-strong, the railroad and Lucent shape; Second Wave -1 as the oil impulse eased with the policy-error leg unchanged; Fracture -1 as Iran talks and the Xi summit outweighed France and the sanctions law. September 16 reasoning: Second Wave +4 because the hike-then-rally counter-read failed on the day it was tested, import prices are +7% y/y and five-to-ten-year expectations sit one tick from the 3.5% trigger. Muddle -3 because the long end stopped cooperating. AI Bust +1 for the labs' own slowdown signal and the removal of the IPO liquidity event; strong TSMC and Korean chip data prevent a larger move. Escape -2 for the macro hurdle (hikes, \$108 oil, negative real wages, 10-year at 5%). Repression -1 near-term on positive real rates, with its five-year mass preserved by the game-theory argument. Fracture +1 on the Lithuania shoot-down, the India-Pakistan collision and the secondary-tariff bill, netted against the Xi visit and the BRICS "de-risking, not de-dollarization" language.

1 · Grinding Nominal Muddle · 26%

Analogue: UK 1950s–60s slow erosion crossed with the US 2004–06 nominal grind. Deficits stay 5.5–6.5% of GDP, debt grinds toward 108–112%, and the market keeps clearing at a price: a restored term premium, a 10-year oscillating 4–5.25%, soft repression (bill-heavy issuance, leverage-ratio relief, buybacks, stablecoin bill demand) doing the work quietly. Inflation settles near 3%. Roughly 8–10 points of this scenario is a course-correction variant with a post-midterm or post-2028 fiscal package. At least one 20–30% recovered drawdown inside the window is likelier than not. Endpoints 2031: 10-year 4.25–5.00%; S&P +4–6% a year nominal; CPI 2.8–3.3%; gold \$5,000–6,000; dollar index 94–104.

2 · Repression by Stealth · 20%

Analogue: US 1942–51 fiscal arithmetic plus the UK 1949–67 currency template. An ordinary 2027–28 recession lands on 6% structural deficits; belly auctions fail properly; the machinery gets repurposed: leverage-ratio-deputized banks, cultivated stablecoin demand, reserve purchases expanding from bills into coupons, the Fed cutting to 2% while CPI runs 3.5–4%. The 10-year is managed into a 4–4.75% band against roughly 4% inflation. About 13 points of this mass is "ordinary recession plus standard QE with sticky inflation"; only 5 points is the true repression apparatus. Endpoints: 10-year 4.00–4.75% with negative real yields; S&P +5–8% a year with a 25% drawdown en route; CPI 3.5–4.2%; gold \$6,500–8,000; dollar index 82–92.

3 · AI Bust Feeds the Debt Cycle · 18%

Analogue: between 2001 and a lighter 1873. A capex cycle above \$700B a year whose financing flipped from cash to debt just as it peaked, landing on an economy where AI drove roughly three-quarters of growth. Sequence: a hyperscaler guidance cut, a lab funding round slipping, Oracle's backlog renegotiated, neocloud defaults on GPU-collateralized debt, an SPV impairment, the private-credit pipeline shutting. Nasdaq –55 to –65%, S&P –35 to –45%. The second order is the story: the top-decile wealth effect converts a capex recession into a broad one; deficits reach 9–10% of GDP; the Fed cuts to about 1% and restarts QE, first bills then duration. The technology delivers anyway; the 2026-vintage capital is destroyed. Endpoints: 10-year 3.75–4.50%; S&P 0–3% a year with a 40% drawdown; CPI 2.6–3.2%; gold \$6,000–7,500.

4 · Second Wave and the Long-End Accident · 19%

Analogue: US 1968–74 compressed, with the 2022 gilt crisis for the accident mechanics. Premature easing into 3%+ core inflation (the Burns move) after the midterms; wave two builds on de-anchored expectations, a Hormuz round three, and tariff round two, peaking 5.5–6.5% in 2028–29. Then the bond market imposes what the Fed would not: a failed auction cluster takes the 30-year through 6.5% in weeks; emergency caps convert the crisis into repression with inflation at 5%, the worst possible entry; a re-tightening delivers a hard 2029 recession. This scenario carried 9% in July because it needs three sequential events (a Burns-style cut, breakevens de-anchoring, a Truss-scale accident). It has nearly doubled since because the first two are visibly closer: the inflation leg is here, and the long end now sells off on hikes. Endpoints: 10-year 5.25–6.25% (6.5–7% at the accident); S&P –2 to +1% a year; CPI 4.5–5.5%; gold \$7,500–9,500; dollar index 78–90.

5 · Productivity Escape · 12%

Analogue: US 1995–2000 with its warning label. Growth rises decisively above the interest rate: AI end-market revenue crosses annual capex by about 2028; productivity prints 2.5–3% sustained; revenues surprise by \$300–500B a year; the deficit falls to 4–4.5% with no painful legislation; debt to GDP flattens near 104%. About a third of this scenario's mass is bust-then-boom: a 2027 credit event followed by the productivity payoff anyway. Endpoints: 10-year 3.75–4.25%; S&P +8–12% a year; CPI 2.0–2.4%; gold \$2,800–3,500; dollar index 102–112.

6 · Fracture · 5%

Analogue: UK 1976 plus US 1933 plus Suez 1956. A compound failure: Fed capture consummated, a contested 2028 election, and an external shock (a Taiwan quarantine freezing Asian reserve managers, or capital-war taxation of foreign holdings). Foreign official demand strikes for real; emergency yield control, capital-flow friction and extraordinary taxation follow. Devaluation and repression, not default. Endpoints: 10-year 6.0–7.0% where uncapped; S&P –4 to –1% a year; CPI

5.5–7.5%; gold \$10,000–14,000; dollar index 65–78. Raised from 3% to 5% by September 16 on Section 899 rhetoric, the Lithuania shoot-down, the India–Pakistan collision and the secondary-tariff bill; trimmed to 4% on September 22 as the Iran talks and the Xi summit outweighed France's spread break; back to 5% on September 28 after the Iran plan was rejected and post-election bombing was reported as the plan.

8 · PUT-STRATEGY MODEL

October 2 results: unchanged ranking, S&P December 2027 put at 2.7× cost

The model prices each structure with Black–Scholes at today's implied volatility, then simulates 12,000 scenario-conditioned monthly paths (drift, volatility, crash timing, depth and length per scenario, weighted by the October 2 probabilities), and reports the expected payoff as a multiple of cost. "Exit rule on" sells the position when the underlying falls through its trigger at crash-level implied volatility rather than holding to expiry. Inputs: risk-free 4.6% (2-year 4.84%, 3-month bill 4.09%); S&P 7,726 (October 2); NVDA \$234; Oracle \$138; PLTR ~\$190; HYG \$76.9; SOXX \$589; SPX implied volatility 16.5% at 4 months (VIX 15.5) to 21% at 22 months. The December 2027 10%-out-of-the-money SPX put stays at 2.74x and the June 2028 at 2.43x; the weight moved from AI Bust to Repression nets to nothing for index puts. Costs are percent of spot. P0 is the share of paths that expire worthless; ≥3× and ≥10× are the shares that return at least three or ten times cost. The last column is the expected multiple conditional on each scenario (Muddle / Repression / AI Bust / Second Wave / Escape / Fracture). Rows marked in the tan shade replicate Michael Burry's disclosed structures.

Exit rule on (the realistic case)

STRUCTURE	COST	EV	P0	≥3×	≥10×	BY SCENARIO
[B] NVDA Jun-27 p~105 (53% OTM)	0.21%	3.84×	61%	31%	17%	3.0/2.9/3.4/8.1/1.1/4.3
SPX Dec-27 10% OTM	3.22%	2.74×	41%	48%	0%	1.5/3.0/3.9/4.9/0.3/1.4
SPX Jun-28 10% OTM	4.32%	2.43×	38%	54%	0%	1.5/2.5/3.5/3.9/0.2/3.3
QQQ Dec-27 10% OTM	4.78%	2.42×	36%	53%	0%	1.5/2.7/3.2/4.1/0.4/1.4
SPX Dec-27 90/70 spread	2.81%	2.33×	42%	48%	0%	1.3/2.7/3.5/4.0/0.2/1.2
QQQ Dec-27 90/65 spread	4.21%	2.09×	37%	48%	0%	1.3/2.4/2.9/3.4/0.3/1.4
QQQ Jun-28 90/65 spread	4.86%	1.91×	33%	21%	0%	1.3/2.1/2.7/2.7/0.3/2.5
[B] QQQ Jun-27 p~655 (11% OTM)	2.94%	1.89×	60%	29%	1%	1.3/1.8/1.9/3.9/0.4/1.1
SOXX Dec-27 85/55 spread	5.56%	1.75×	35%	17%	0%	1.2/2.0/2.3/2.7/0.3/1.2
SOXX Jun-28 85/55 spread	6.41%	1.71×	29%	5%	0%	1.2/1.8/2.3/2.4/0.4/2.2
NVDA Dec-27 80/45 spread	7.00%	1.67×	28%	6%	0%	1.3/1.8/2.1/2.4/0.7/1.4
SPX Mar-27 10% OTM	1.25%	1.57×	79%	15%	8%	1.3/0.7/0.8/4.5/0.3/1.1
PLTR Dec-27 25% OTM	10.46%	1.49×	26%	2%	0%	1.2/1.5/1.8/2.1/0.6/1.3
SPX Mar-27 90/75 spread	1.17%	1.38×	79%	15%	5%	1.2/0.8/0.7/3.7/0.3/1.0
VRT Dec-27 85/50 spread	10.20%	1.27×	27%	0%	0%	1.0/1.4/1.6/1.8/0.5/1.1
DLR Dec-27 12% OTM	5.86%	1.26×	45%	9%	0%	0.7/1.3/1.7/2.4/0.1/0.6
HYG Dec-27 5% OTM	3.18%	1.25×	45%	13%	0%	0.7/1.3/1.7/2.4/0.1/0.5
[B] SOXX Mar-27 p~425 (23% OTM)	1.40%	1.24×	82%	16%	3%	0.9/0.7/0.6/3.4/0.2/1.2
ORCL Jun-28 85/55 spread	10.69%	1.24×	22%	0%	0%	1.0/1.3/1.5/1.6/0.5/1.5
ORCL Dec-27 15% OTM	14.52%	1.23×	28%	0%	0%	0.9/1.3/1.5/1.8/0.5/1.0
ORCL Dec-27 85/55 spread	10.10%	1.16×	28%	0%	0%	0.9/1.3/1.5/1.6/0.4/1.0
CRWV Dec-27 70/25 spread	15.16%	1.12×	22%	0%	0%	0.9/1.2/1.4/1.4/0.6/1.2
[B] PLTR Mar-27 p~105 (40% OTM)	1.60%	1.10×	73%	19%	0%	0.9/0.8/0.9/2.1/0.5/1.4

STRUCTURE	COST	EV	P0	≥3×	≥10×	BY SCENARIO
HYG Jun-28 95/85 spread	2.71%	1.05×	41%	0%	0%	0.6/1.1/1.6/1.6/0.1/1.5
HYG Dec-27 95/87 spread	2.04%	1.02×	46%	1%	0%	0.6/1.1/1.6/1.8/0.1/0.6
[B] PLTR Dec-26 p~105 (40% OTM)	0.49%	0.78×	90%	10%	2%	0.5/0.6/0.7/1.7/0.2/1.3
[B] NVDA Dec-26 p~105 (53% OTM)	0.03%	0.59×	94%	3%	2%	0.2/0.4/0.6/1.5/0.1/1.3
ORCL Mar-27 85/60 spread	6.73%	0.55×	68%	1%	0%	0.5/0.4/0.5/1.0/0.2/0.5

Hold to expiry (for comparison)

STRUCTURE	COST	EV	P0	≥3×	≥10×	BY SCENARIO
[B] NVDA Jun-27 p~105 (53% OTM)	0.21%	6.31×	88%	11%	10%	1.3/2.6/7.8/20.6/0.0/0.9
SPX Dec-27 10% OTM	3.22%	3.41×	43%	41%	10%	1.3/3.5/6.1/6.2/0.1/1.4
QQQ Dec-27 10% OTM	4.78%	3.19×	39%	43%	6%	1.3/3.3/5.5/5.8/0.3/1.5
SPX Dec-27 90/70 spread	2.81%	2.88×	43%	43%	0%	1.5/3.2/4.7/4.9/0.2/1.4
SPX Jun-28 10% OTM	4.32%	2.78×	43%	38%	4%	1.1/2.1/4.9/4.5/0.1/5.7
QQQ Dec-27 90/65 spread	4.21%	2.74×	38%	46%	0%	1.5/3.1/4.1/4.5/0.3/1.7
[B] QQQ Jun-27 p~655 (11% OTM)	2.94%	2.41×	61%	27%	8%	1.4/2.1/2.6/5.7/0.3/1.2
SOXX Dec-27 85/55 spread	5.56%	2.36×	41%	42%	0%	1.2/2.6/3.8/4.0/0.2/1.2
NVDA Dec-27 80/45 spread	7.00%	2.36×	36%	44%	0%	1.3/2.6/3.7/3.8/0.3/1.4
QQQ Jun-28 90/65 spread	4.86%	2.36×	40%	44%	0%	1.3/2.3/3.7/3.6/0.2/3.7
SOXX Jun-28 85/55 spread	6.41%	2.11×	41%	41%	0%	1.2/1.9/3.4/3.3/0.1/3.2
SPX Mar-27 10% OTM	1.25%	1.91×	79%	15%	7%	1.4/0.9/0.7/5.9/0.3/1.3
PLTR Dec-27 25% OTM	10.46%	1.82×	38%	31%	0%	0.9/1.8/3.2/3.1/0.2/0.9
[B] SOXX Mar-27 p~425 (23% OTM)	1.40%	1.80×	84%	13%	7%	1.2/0.5/0.8/6.0/0.2/0.8
VRT Dec-27 85/50 spread	10.20%	1.72×	32%	36%	0%	1.0/1.9/2.6/2.7/0.4/1.0
[B] NVDA Dec-26 p~105 (53% OTM)	0.03%	1.67×	99%	1%	1%	0.2/0.0/0.0/8.4/0.0/0.0
ORCL Jun-28 85/55 spread	10.69%	1.53×	33%	0%	0%	0.9/1.5/2.3/2.2/0.3/2.3
ORCL Dec-27 85/55 spread	10.10%	1.49×	35%	0%	0%	0.8/1.6/2.3/2.3/0.3/0.9
SPX Mar-27 90/75 spread	1.17%	1.48×	79%	15%	8%	1.2/0.8/0.8/3.9/0.4/1.2
DLR Dec-27 12% OTM	5.86%	1.46×	48%	22%	0%	0.5/1.4/2.7/2.8/0.1/0.5
ORCL Dec-27 15% OTM	14.52%	1.41×	33%	17%	0%	0.7/1.5/2.4/2.3/0.2/0.8
HYG Dec-27 95/87 spread	2.04%	1.40×	48%	28%	0%	0.6/1.5/2.3/2.5/0.1/0.6
CRWV Dec-27 70/25 spread	15.16%	1.28×	38%	0%	0%	0.6/1.3/2.4/1.9/0.2/1.1
HYG Jun-28 95/85 spread	2.71%	1.24×	49%	23%	0%	0.5/1.0/2.3/2.1/0.1/2.3
HYG Dec-27 5% OTM	3.18%	1.20×	50%	16%	0%	0.4/1.2/2.2/2.4/0.0/0.4
[B] PLTR Mar-27 p~105 (40% OTM)	1.60%	1.05×	89%	9%	5%	0.6/0.3/0.4/3.8/0.1/0.3
ORCL Mar-27 85/60 spread	6.73%	0.61×	69%	9%	0%	0.5/0.4/0.5/1.3/0.2/0.6

STRUCTURE	COST	EV	P0	≥3×	≥10×	BY SCENARIO
[B] PLTR Dec-26 p~105 (40% OTM)	0.49%	0.51×	98%	2%	2%	0.2/0.0/0.0/2.3/0.0/0.2

The red-team rules that override the table

- **Skew kills far-out-of-the-money lotteries.** The model prices at a flat volatility, so structures 40–55% out of the money (the Burry NVDA and PLTR replicas) are overstated. Real skew adds several volatility points to those strikes; discount their multiples by a third to a half.
- **Time is the enemy of early expiries.** March 2027 structures return roughly 1.1–1.3× because most crash paths start after they expire. Burry's own move this week (closing December 2026, keeping 2027) is consistent with this.
- **Cap the bleed.** Premium at risk should stay at 1–1.5% of the portfolio per year. At about 3.2% cost for a December 2027 10%-out-of-the-money SPX put, that is a modest notional, not a portfolio-sized bet.
- **The historical replay (v6) says the exit rule matters more than the strike.** On real episodes since 1987, the –22%-from-entry exit fired in only 10 to 25% of crash entries because the index often rallied after purchase; a –22%-from-running-peak rule raised the expected multiple from 1.3x to 1.7x with far fewer zeros. Long-dated 10%-OTM index puts bought within 12 months of a top earned 1.6 to 2.0x on a scenario-weighted basis; bought 12 to 24 months early they mostly expired worthless.
- **Use index puts on SPX or XSP for tax treatment** where applicable (Section 1256), and prefer index and QQQ puts over VIX calls while VIX call skew sits in the 91st percentile and equity puts are comparatively cheap.
- **Spreads over outright on single names,** and no Nvidia position into its earnings (late November) where the guide has historically crushed volatility.
- **Oracle, CoreWeave and high-yield structures run near 1.0–1.2×** because their implied volatility already prices the stress. The information is in the credit, the payoff is in the index.

9 · TRIPWIRES AND CATALYSTS

Scorecard as of October 2, and the ladder ahead

TRIPWIRE	STATUS	EVIDENCE
Treasury intervention forced and not holding	FIRE	Sep 24 op \$4.08B of \$6B (\$10.47B offered) with the 30Y at 5.44–5.50%; 30Y 5.56% on Sep 28, two sessions later. Indicator 2 → 3 under the Sep 10 clause; reverts on five closes under 5.30%.
Fed pivots to duration (Stage-5 gate)	OPPOSITE	Oct hike 72% (from 55%); Barr "out of position"; 2Y 4.90% prices a second hike; reserve-management purchases zero.
10Y at or above 5% / 30Y at or above 5.5%	CROSSED	10Y 5.17% close, 5.23% intraday (2007 high); 30Y 5.50% intraday Sep 24, 5.56% Sep 28; a 30Y close at or above 5.50% is not yet confirmed in the record.
Equity risk premium at or below zero	CROSSED	–0.5 to –0.8pp at S&P 7,743 and 10Y 5.2%, the most negative reading of the cycle; bonds did not hedge stocks on any session.
Net investment / GDP (capital cycle, new)	AT 3	2.07% at June 30, 2026, versus about 2.0 (2000), 1.6 (2007) and 1.9 (2014); prior peaks coincided with or lagged the equity tops; re-read quarterly.
Burns test (cuts into 3%+ core)	OPPOSITE	Fed 72% to hike; the test is a 2027 event, and the reported post-election Iran plan makes the inflation leg likelier.
Expectations de-anchor	APPROACHING	UMich final 48.1, one-year 4.6%; five-to-ten-year final not retrieved (prelim 3.4% vs the 3.5% trigger); gasoline \$4.49; flash PMI prices hot.
Hyperscaler capex cut	NONE	No change found Sep 22–28 (a coverage gap); Microsoft's reclassification is still the only "cut."
AI credit-complex stress	2 CONFIRMED	Oracle force majeure on Jupiter (Sep 24); ORCL CDS at a record (the 250bp level unverified); Jupiter loans 89–91; CoreWeave-tenant data-center paper 9.25%; HY 280bp; no default or impairment; a third confirmation makes the indicator 3.
Circular guarantee at scale	CROSSED	Nvidia \$108.5B of guarantees; SoftBank \$11.1B junk to OpenAI's \$10B Oct 1 call; Oracle \$11.4B of prepayments with a financing component.
Second private-credit gate wave	APPROACHING	Quiet ahead of the Oct 1 windows; Blue Owl is now the most concentrated node in the circularity map; Fitch default rate 6.3% record.
Consumer weak-3 flag	AT TRIGGER	Hires 3.2% (Oct 6; previews point to a rebound) and saving 3.0% (Sep 30; can move on the revision alone); claims 197K; mortgage 7.03%; UMich 48.1.
Subprime funding break	APPROACHING	Car-Mart did not file: a fourth waiver extension to Oct 1; CACC settlement ~\$710M; Upstart and Affirm –4%; Fitch's August index still missing.
Oil / Hormuz	RE-ARMED	Iran's plan rejected Sep 26; bombing after Nov 3 reported; Brent \$105–107 (intraday \$108.8); Hormuz transits still restricted.
Great-power confrontation (external conflict to 3)	APPROACHING	Xi summit constructive (truce to early 2027) but Taiwan a "red line," no chip relief, rare earths omitted from China's readout; 100% pharma tariff and Canada bans effective Sep 29.
Reserve erosion / Dalio triple	1 OF 3, FAILING	Gold \$4,150 (–3.8%, about +12% y/y: the +20% clause fails); dollar index 101.1; yields up, dollar up, gold down; COFER Q2 on Sep 30 executes the downgrade if above 57.5%.
Japan long end / repatriation	RISING	10Y JGB 3.06% (since 1996), 30Y 4.13%; yen about 158; Trump reportedly raised the yen with Takaichi; no intervention.
Europe periphery	WORSENING	Bund 3.64% (since 2009), gilt 5.36%; France's budget slips to Oct 1 with a 5.4% 2026 deficit, OAT–Bund ~105bp; eurozone PMI 53.1 feeds more ECB hikes; Norway to 4.50%.
China contraction	MIXED	EPMI 52.3 (seasonal); PBOC fixing weaker than estimates into Golden Week; Korea chips +259%; property data unchanged.

TRIPWIRE	STATUS	EVIDENCE
Institutional rupture / Section 899	RHETORIC	No 899 text; no removal action; Trump quiet on the Fed this week; approval 33%, a new low.

Catalyst ladder

DATE	EVENT	WHAT IT DECIDES
Sep 29	Conference Board confidence; 7Y auction results; 100% pharma tariff and Canada import bans take effect	Sentiment vs UMich 48.1; whether the belly's buyers' strike extends; tariff round two begins.
Sep 30	August PCE and saving rate; Q2 GDP third estimate with the annual revision; Micron earnings; IMF COFER Q2; France's 2027 budget; quarter-end pension rebalance	Saving rate below 3.0% escalates the consumer flag (the revision alone can move it); memory pricing and the capital-cycle tell; COFER above 57.5% downgrades reserve erosion; OAT–Bund stress; equity selling into quarter-end.
Oct 1	America's Car-Mart waiver expiry; Blue Owl, HLEND, Apollo ADS, Ares ASIF Q3 redemption windows; OpenAI's \$10B from SoftBank	A Car-Mart filing moves the lender indicator to 2; the second private-credit gate wave; whether the circular funding leg closes on time.
Oct 2	September payrolls	A negative print with a hiking Fed is the hike-into-weakness case.
Oct 6	August JOLTS	Hires rate below 3.2% for a second month escalates the consumer flag.
Oct 8	30-year auction	The first long-bond sale with the 30-year near 5.5%; a tail of 4bp+ with cover under 2.2 is the auction-stress trigger.
Oct 13–14	Bank earnings; September CPI (approx.)	Buyback blackout starts to lift; the inflation leg vs the October hike.
Mid-Oct	Oracle AI World and investor day (date unverified); FINRA September margin debt	Oracle's financing plan after force majeure; whether leverage kept rising into the reversal.
Oct 27–28	FOMC (72% priced for a hike)	The second hike, the last the calendar permits.
Oct 28	UK Budget	Gilt stress spillover to the global long end.
Nov 3	US midterms	The election put expires; a Democratic House removes fiscal offsets.
Nov 4	Quarterly refunding announcement	Long-coupon cuts (yield control by issuance) or the treadmill.
~Jan 10, 2027	US–China truce expiry (extended two months from Nov 10 at the Xi summit)	Tariff round two if not extended again.
Dec 11	Continuing resolution expires	Post-election fiscal fight.

10 · METHOD, HONESTY NOTES, AND LIMITS

How this was built and what it cannot tell you

Method. The July baseline was built from twelve parallel research streams (Treasury market and auctions, fiscal, Fed and inflation, equities and credit, Dalio's frameworks, historical analogs, dollar and geopolitics, AI economics, bubble anatomy, consumer credit, China and global contagion, AI circular-deal forensics), synthesized into the BDCR-26 algorithm and scenario map, then adversarially reviewed by a primary-source fact-checker, an internal-consistency auditor, and an anti-doom contrarian. Each re-score since (August 19, September 10, 16, 22 and 28) ran five or six fresh sweeps over the intervening window and tested every indicator against its written threshold. The September 10 re-score was itself audited: a first pass of 71.7 was rejected because two upgrades re-anchored pre-registered thresholds in the same update that benefited from them, and the composite was held at 69.0 with prospective amendments logged instead. On September 28 a red-team memo on crash timing was adopted: the composite became the structural layer and a separate timing engine (section 2A) now produces the hazard curve; its liability clock ships with tagged placeholders because primary maturity data could not be reached from this environment.

Honesty notes carried in the record.

- Every indicator that has risen since July is a financial-market indicator. The real-economy indicators have been held despite deterioration in hires, saving, real wages and subprime auto, because none crossed its written line. The composite currently measures narrative heat more than household stress.
- A Fed that hikes with positive real rates is evidence against monetization. What has risen is a hike-into-weakness slowdown plus an inflation leg, not a monetization event. The gate stays shut until the Fed buys duration or caps yields.
- Japan's Treasury sales in May and June were mostly the mechanical funding of a yen intervention that succeeded. The pending TIC print of those sales is not new stress.
- Gold was never at a record in August; the all-time high was \$5,596 on January 28, 2026. Student-loan garnishment has been paused since January 16, 2026. Fitch's private-credit default rate is 6.1% (the "5.2%" once carried was a 2025 figure).

Known gaps at the time of writing. September 28 index and single-stock levels (direction only), the September 25 and 28 30-year closes, the Nasdaq-100, Russell 2000, semiconductor and high-yield ETF levels, Nvidia since September 21, the Oracle CDS level in basis points, the 7-year auction result, the Goldman quarter-end pension estimate, and most named-strategist commentary could not be retrieved before the research budgets were exhausted. Conflicts flagged: the September 24 30-year (5.438% in one wire recap, 5.501% intraday in Bloomberg's), the MOVE index (104.6 on September 24 in one source, 96.0 on September 25 in another), Capital One's August card delinquency (3.57% per the filing versus the 3.73% carried on September 16), a gold futures-versus-spot gap in the feeds, and two dates for Nvidia's next earnings (November 17 or 25). The 30-year upgrade rests on the amendment's intervention-fails clause, which is satisfied on intraday prints; the original close-based rule is not yet confirmed. Several figures come from search extracts of primary sources rather than the pages themselves. Each is marked in the model's notes.

Limits that survive every fix. Roughly ± 5 –8 points of input uncertainty on the composite. Thresholds anchored partly to the zero-rate decade (re-anchoring to 1960–2025 distributions would read about 63–65, mid-Regime 3). An additive structure that understates tail steepness: regime breaks are correlation events, so expect jumps of 8–15 points, not drifts. Four judgment-scored indicators. A small history with survivorship bias. The regime call (upper Regime 3, gate unmet) survives every recalibration tried; the point estimate, the scenario probabilities, and every price and date in this report are soft. The signposts are the product. Watch the tripwires, not the forecast.

This is a scenario-analysis exercise, not investment advice. Five-year macro forecasts have wide error bars by nature. Nothing here accounts for personal circumstances, tax position, or risk tolerance. Ray Dalio's frameworks are used analytically; this document is not affiliated with or endorsed by him. Michael Burry's positions are cited from public filings and reporting.